



ENCAP INVESTMENTS L.P.
EnCap Energy Capital Fund X

Quarterly Review

As of December 31, 2022

Confidential



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund X

Table of Contents

Section I: Summary of Significant Events and Valuation

Section II: Industry Overview

Section III: Portfolio Companies

Section IV: Financial Statements

Section I: Summary of Significant Events and Valuation

Activity for the three months ended December 31, 2022

Transactions		
<i>Type</i>	<i>#</i>	<i>\$ in millions</i>
Commitments	0	0.0
Investments	0	0.0
Distributions-Cash	13	345.0

Fund X made no commitment expansions or adjustments to portfolio companies.

Fund X made no investments in portfolio companies.

Fund X received cash distributions from the following portfolio companies (\$ in millions):

Distributions:

Fortis Oklahoma	\$ 77.9
EnCap Minerals	62.9
Novo	49.0
Felix II	48.8
Grayson Mill	36.8
Verdun	24.0
Raisa	14.4
Grayson Mill II	10.9
Plains All American	6.7
Advance	5.4
Enduring IV	5.0
Moda	2.6
Staghorn II	0.6
	<u>\$ 345.0</u>

Fund Performance Summary (\$ in millions)

The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

<i>Date of Initial Investment</i>	<i>Total Committed</i>	<i>Capital Invested</i>	<i>Realized Proceeds</i>	<i>Unrealized Value</i>	<i>Total Value</i>	<i>Gross IRR</i>	<i>Net IRR</i>
Mar-15	\$ 7,106.6	\$ 6,152.4	\$ 5,975.2	\$ 7,903.1	\$ 13,878.3	20.7%	15.7%

EnCap Energy Capital Fund X
Summary of Significant Events and Valuation

Portfolio Status

Fund X								
(As of December 31, 2022; \$ in millions)								
Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
<i>Realized or Substantially Realized Investments</i>								
Southland	Mar-15	\$ 465.5	\$ 465.5	\$ -	\$ -	\$ -	0.0x	n/a%
Ameredev	May-15	168.3	168.3	514.4	-	514.4	3.1	273.2
Talon III	May-15	13.9	13.9	57.6	-	57.6	4.1	243.5
Grenadier II	May-15	100.8	100.8	145.6	-	145.6	1.4	8.6
Moda	Jun-15	112.4	112.4	175.5	6.8	182.3	1.6	17.2
Staghorn II	Oct-15	164.9	164.9	388.0	4.9	392.9	2.4	154.9
Felix II	Nov-15	335.3	335.3	2,637.2	-	2,637.2	7.9	46.3
Raisa	Apr-16	252.7	252.7	268.1	-	268.1	1.1	1.5
Advance	May-16	445.5	435.4	12.7	1,163.0	1,175.7	2.7	22.1
Grayson Mill	Oct-16	89.5	58.7	37.3	6.2	43.5	0.7	(7.2)
Royal Holly	Jan-17	26.2	26.2	8.7	-	8.7	0.3	(46.4)
Fortis Oklahoma	Mar-17	161.3	161.3	156.7	17.0	173.7	1.1	1.6
Staghorn III	May-17	276.8	276.8	19.3	11.4	30.7	0.1	(35.3)
Olifant	Jun-17	76.2	76.2	11.2	-	11.2	0.1	(64.6)
		2,689.3	2,648.4	4,432.3	1,209.3	5,641.6	2.1x	21.9%
<i>Unrealized Investments</i>								
Verdun	Jan-16	215.9	207.0	454.5	769.0	1,223.5	5.9	
Plains All American	Jan-16	280.0	280.0	126.7	339.5	466.2	1.7	
OGX IV Quinn Ranch	Jun-16	297.1	257.6	13.0	354.3	367.3	1.4	
EnCap Minerals	Jun-16	732.0	625.1	430.1	1,591.4	2,021.5	3.2	
Novo	Aug-16	599.1	491.3	269.5	914.0	1,183.5	2.4	
PetroLegacy	Sep-16	499.5	443.3	-	932.8	932.8	2.1	
Ameredev II	Mar-17	685.0	546.4	-	912.2	912.2	1.7	
Mongoose	Apr-17	283.7	136.5	-	33.3	33.3	0.2	
Enduring IV	Jun-17	475.0	271.4	5.2	323.4	328.6	1.2	
Grayson Mill II	Apr-21	250.0	196.4	243.9	452.5	696.4	3.5	
Verdun Austin Chalk JV	Dec-21	100.0	49.0	-	71.4	71.4	1.5	
		4,417.3	3,504.0	1,542.9	6,693.8	8,236.7	2.4x	
		\$ 7,106.6	\$ 6,152.4	\$ 5,975.2	\$ 7,903.1	\$ 13,878.3	2.3x	20.7%

Note: Amount committed, invested and distributed shown net of \$79.3 million recallable bridge loan to Southland.

EnCap Energy Capital Fund X
Summary of Significant Events and Valuation

Comparison to prior quarter
(\$ in millions)

	Valuation		Q4 2022 Cash	Valuation Increase	% Change in Unrealized	Comments (> \$5MM and 5% change)
	9/30/2022	12/31/2022	Inv. (Distrib.)	(Decrease)	from 9/30/2022	
Staghorn II	\$ 4.6	\$ 4.9	\$ (0.6)	\$ 0.9	19.6%	
Felix II	38.2	-	(48.8)	10.6	27.7%	STACK Minerals Sale and DVN share price
Staghorn III	11.4	11.4	-	-	0.0%	
Moda	9.4	6.8	(2.6)	-	0.0%	
Verdun	649.6	769.0	(24.0)	143.4	22.1%	Positive Eagle Ford drilling results and activity
Plains All American	339.5	339.5	(6.7)	6.7	2.0%	
Raisa	12.8	-	(14.4)	1.6	12.5%	
Advance	1,353.1	1,163.0	(5.4)	(184.7)	-13.7%	Marked to Sales price per PSA, excludes \$75MM in potential incentive payments
OGX IV Quinn Ranch	355.0	354.3	-	(0.7)	-0.2%	
EnCap Minerals	1,467.7	1,591.4	(62.9)	186.6	12.7%	Increase in drilling activity on minerals acreage
Novo	969.1	914.0	(49.0)	(6.1)	-0.6%	
PetroLegacy	877.4	932.8	-	55.4	6.3%	Positive Northern Midland Basin drilling results and activity
Grayson Mill	47.2	6.2	(36.8)	(4.2)	-8.9%	
Ameredev II	881.1	912.2	-	31.1	3.5%	
Fortis Oklahoma	92.3	17.0	(77.9)	2.6	2.8%	
Mongoose	29.7	33.3	-	3.6	12.1%	
Enduring IV	337.5	323.4	(5.0)	(9.1)	-2.7%	
Grayson Mill II	422.4	452.5	(10.9)	41.0	9.7%	Positive Bakken drilling results and activity
Verdun Austin Chalk JV	59.0	71.4	-	12.4	21.0%	Positive Eagle Ford drilling results and activity
	<u>\$ 7,957.0</u>	<u>\$ 7,903.1</u>	<u>\$ (345.0)</u>	<u>\$ 291.1</u>	<u>3.7%</u>	

EnCap Energy Capital Fund X

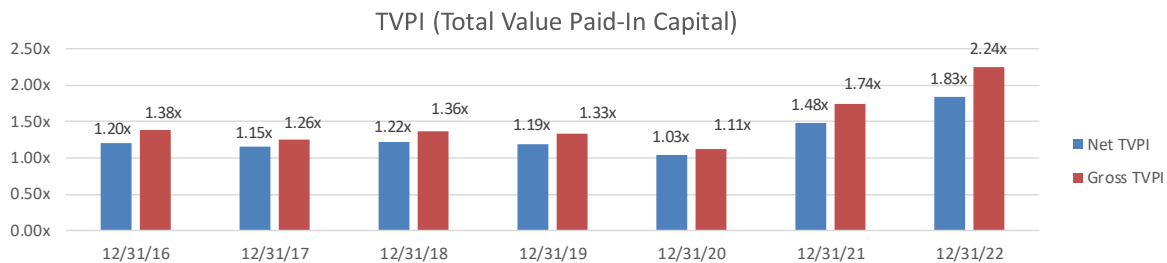
Summary of Significant Events and Valuation

Fund Status

(\$ in millions)

	12/31/16	12/31/17	12/31/18	12/31/19	12/31/20	12/31/21	12/31/22
Total Commitments	6,701.0	6,701.0	6,701.0	6,701.0	6,701.0	6,701.0	6,701.0
Total Paid-In Capital	2,115.7	4,536.1	5,466.9	6,030.7	6,261.9	6,722.3	6,846.1
Recallable Capital	79.3	419.1	419.1	442.7	448.6	448.6	471.0
% Total Capital Drawn*	30.4%	61.4%	75.3%	83.4%	86.8%	93.6%	95.5%
Remaining Commitment*	4,664.6	2,584.0	1,653.2	1,113.0	887.7	427.3	325.9
Investments at Cost	1,896.8	4,237.5	5,084.0	5,600.3	5,801.4	6,169.7	6,231.7
Investments at FMV	2,618.3	5,328.1	6,907.0	7,441.7	6,457.5	10,716.8	13,957.6
Gains (losses) - on unrealized companies	115.1	458.2	1,190.7	288.5	49.4	2,760.0	4,732.7
Gains (losses) - on realized companies	606.4	632.4	632.3	1,552.9	606.7	1,787.1	2,993.2
Gross Distributions	79.3	942.2	1,059.8	1,254.7	1,357.8	3,280.8	5,975.2
Cash Balance	35.1	55.2	70.3	48.6	75.6	104.3	119.8
# of Companies Funded	19	27	26	24	25	24	25
# of repeat teams	9	15	14	14	15	9	10
# of new teams	10	12	12	10	10	15	15
Realized above cost	2	3	3	4	5	7	9
Realized below cost	-	-	1	3	4	4	5
Unrealized above cost	6	12	15	11	6	8	10
Unrealized at cost	10	9	1	-	1	-	-
Unrealized below cost	1	3	6	6	9	5	1
Gross Distributions:							
% of total drawdowns	3.7%	20.8%	19.4%	20.8%	21.7%	48.8%	87.3%
% of committed capital	1.2%	14.1%	15.8%	18.7%	20.3%	49.0%	89.2%
Key Fund Valuation Metrics:							
Gross IRR	54.1%	20.8%	21.5%	13.7%	3.9%	16.6%	20.7%
Gross DPI (Distributions to investment)	0.04x	0.22x	0.21x	0.22x	0.23x	0.53x	0.96x
Gross RVPI (Residual value to paid-in capital)	1.34x	1.04x	1.15x	1.10x	0.88x	1.21x	1.28x
Gross TVPI (Total value to paid-in capital)	1.38x	1.26x	1.36x	1.33x	1.11x	1.74x	2.24x
Net to LPs:							
Net IRR	28.1%	15.8%	13.6%	8.4%	1.1%	11.7%	15.7%
DPI (Distributions to paid-in capital)	0.04x	0.21x	0.19x	0.21x	0.22x	0.49x	0.87x
RVPI (Residual value to paid-in capital)	1.17x	0.94x	1.03x	0.99x	0.81x	0.99x	0.96x
TVPI (Total value to paid-in capital)	1.20x	1.15x	1.22x	1.19x	1.03x	1.48x	1.83x

Historical Fund Performance (TVPI)



* Includes recallable capital

EnCap Energy Capital Fund X
Summary of Significant Events and Valuation

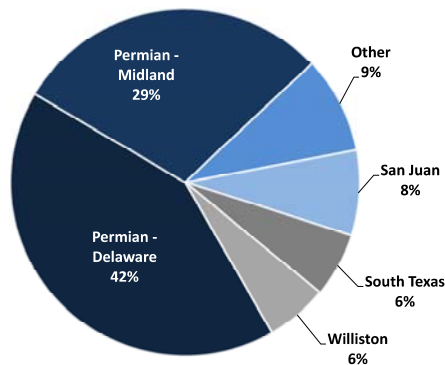
Projected Contributions and Distributions as a Percentage of Commitment

	2023	2024	2025
Contributions	5%	0%	0%
Distributions	30%	30%	20%

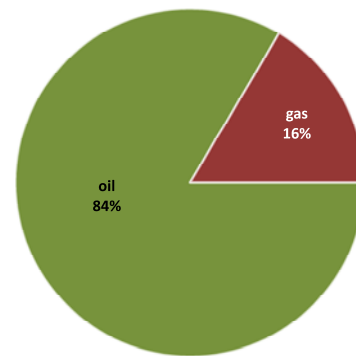
Portfolio Review and Discussion of Recent Transactions

Fund Capital Allocation

Fund X Capital Invested By Basin (Unrealized)

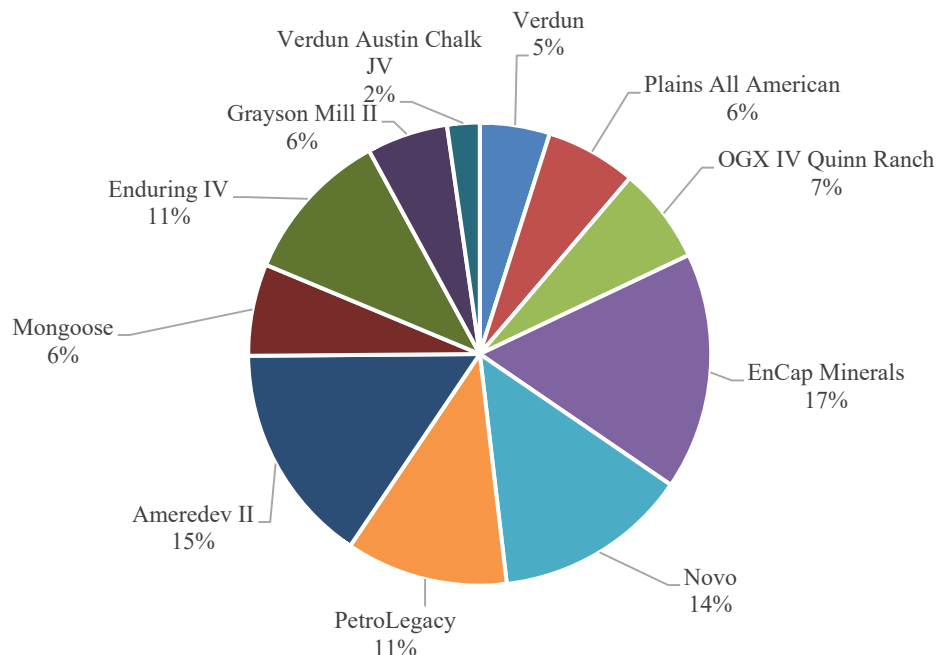


Fund X Oil & Gas Mix (Unrealized - Investment Weighted)



gas @20:1 mcf/bo
 NGL's included in oil @0.6bbl/bo

Fund X Unrealized Commitment Concentration



Significant Events and Transactions

Moda	- Received the final deferred payment of \$50 million related to the sale of MIEC to Enbridge in 2021; executed a second letter of intent with a new customer for the development of blue ammonia exports at VMH
Felix II	- Sold all remaining DVN shares
Verdun	- Assembled ~33,600 net acres across the Eagle Ford trend with production performance from operated wells exceeding management's type curve expectations; also amassed a ~59,200 net acre position targeting the Austin Chalk formation
Plains All American	- Announced quarterly cash dividends (\$6.7 million net to Fund X) on Fund X's preferred equity investment; in January 2023, exercised one-time option to reset annual rate to 9.375% from 8.0%
Advance	- Signed SPA in January 2023 to sell all operated and non-operated properties in New Mexico and Texas to Matador Resources Company (NYSE: MTDR), with closing expected in early Q2 2023
Novo	- Assembled ~16,700 net acres, largely HBP, and ~9,500 NRAs in the northern Delaware; moved from a 3-rig to a 2-rig steady-state development program in Q4; distributed \$50 million in Q4
OGX IV	- Meaningful development of mineral interests on Quinn Ranch now occurring by Endeavor
PetroLegacy II	- Assembled ~25,000 net acres in Martin County, Texas; continued to evaluate mineral acquisitions and water-related infrastructure opportunities for company's development program and third party volumes; continued 2-rig development program
Grayson Mill	- Sold Powder River Basin assets to EOG for \$35 million in cash consideration
Ameredev II	- Assembled ~32,000 net acres in the Northern Delaware Basin; plan to run a modest development program going forward
Mongoose	- Assembled ~9,500 net acres in Pecos County; assets managed by Forge II
Enduring IV	- Initiated distributions from free cash flow in Q4 2022 and plan to run a 1 rig program in 2023
Fortis-OK	- Completed sale of STACK mineral assets to 89 Energy; received \$77.9 million in cash proceeds at closing
Grayson Mill II	- Continued to execute on a significant capital program and make recurring distributions; acquired EOG's Western Bakken assets for \$125 million in cash consideration

EnCap Energy Capital Fund X

Summary of Significant Events and Valuation

- EnCap Minerals** - Made ~\$121 million in distributions (\$62.9 million net to Fund X); current industry activity should translate to growth for the entity in 2023
- Verdun Chalk JV** - Completed 4 additional wells in Q4; restricting production on all 9 producing wells in response to lower gas commodity prices

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During Q4 2022, EnCap managed Fund X in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our third EnCap Sustainability Report covering 2021 available on our FIS DX website.

Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
 - a. Management fees
 - b. Net operating income (loss)
 - c. Realized gains (losses)
 - d. Unrealized gains (losses)
 - e. Unrealized incentive allocation
 - f. Incentive payments to the GP
 - g. Contributions paid
 - h. Distributions received
 - i. Recallable distributions received
 - j. Tax withholdings, if applicable
 - k. Portfolio company summary cash flows
2. Status of Payout
3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices
2. Quarterly management fee calculations
3. Supplemental fund and portfolio company information (available 45 days after quarter end; 105 days after year end)
 - a. Fund organization information
 - b. Portfolio company organization information
 - c. Portfolio company financial information
4. Supplemental Schedule of Investments
5. All tax reporting
6. Annual audited financial statements
7. Advisory Board presentations
8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed



Section II: Industry Overview

Crude Oil Overview

Crude spot prices (“WTI”) finished the quarter up ~0.3% QoQ and ~6.4% YoY. Crude entered 2022 at ~\$75/Bbl, rallied twice beyond \$120/Bbl and finished the year with only a ~\$5/Bbl gain. Subsequent to quarter-end crude has traded in ~\$75/Bbl range. At this time last year the oil markets were broadly speculating how much Russian oil would end up leaving the market due to the Russian/Ukrainian War. Some analysts estimated that as much as ~7 MMBbl/d would leave the market and this bullish sentiment ultimately led to crude surpassing \$125/Bbl/d in March 2022. A number of other factors namely 1) Russian crude continuing to find a market despite sanctions 2) China’s strict covid policy 3) OPEC’s underperformance and 4) the Biden administration’s Strategic Petroleum Reserve (“SPR”) releases all contributed to oil’s underperformance during the second part of the year. In the near/medium-terms bullish oil price drivers include 1) China re-opening post Covid restrictions 2) SPR Oil releases tapering and 3) expected Russian/OPEC+ production cuts (Russia already announced a ~0.5 MMBbl/d cut for March 2023). Near/medium-terms bearish sentiments are largely driven by continued U.S. recession fears hampering global demand growth. Oil fundamentals over the next decade however remain strong as 1) projected increased energy consumption per capita and population growth and 2) global hydrocarbon underinvestment (~\$650 billion of capital is needed annually through 2030) likely push crude prices higher.

Natural Gas Overview

Natural gas spot prices (“Henry Hub”) finished the quarter down ~45.0% QoQ and ~7.9% YoY. Subsequent to quarter-end gas prices continued to deteriorate settling at a new 29 month low of ~\$2.10/MMBtu. During the year gas prices peaked in the ~\$8/MMBtu range in August 2022 as the world tried to digest the impact of the Russian/Ukrainian War on European and U.S. gas markets. Over the last few months gas storage has continued to build relative to the 5-year average. Underachieving demand continues to be the major theme as the excessively mild winter in Europe has helped the EU achieve a 20% reduction in gas demand vs the initial goal of 15%, which seemed like a lofty dream when it was established in the summer of 2022. Most analysts project limited upside for gas pricing in the near-term due to high current production and limited demand drivers in 2023. In the long-term 1) LNG exports 2) continued coal to gas switching and 3) the world’s continued transition to cleaner sources of fuel likely provide upside for pricing.

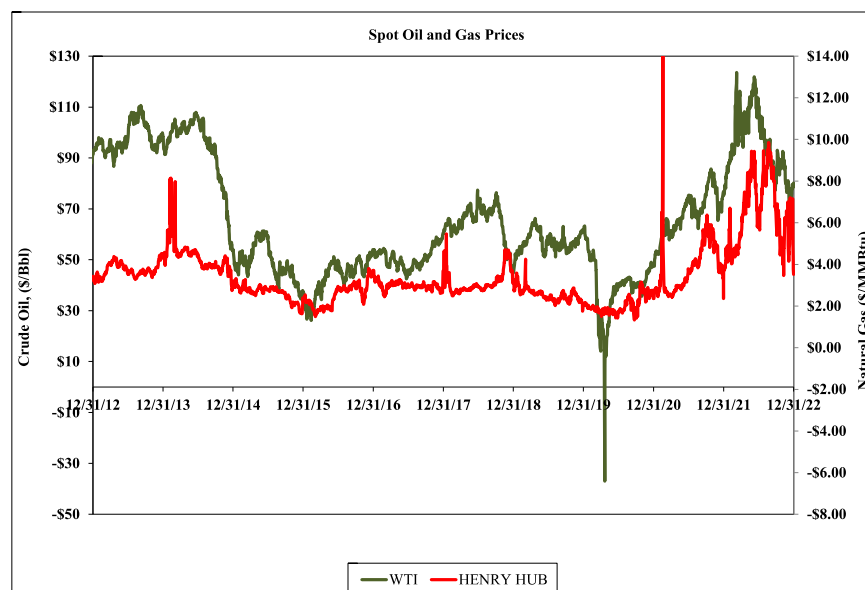


Figure 1: Oil & Gas Spot Prices

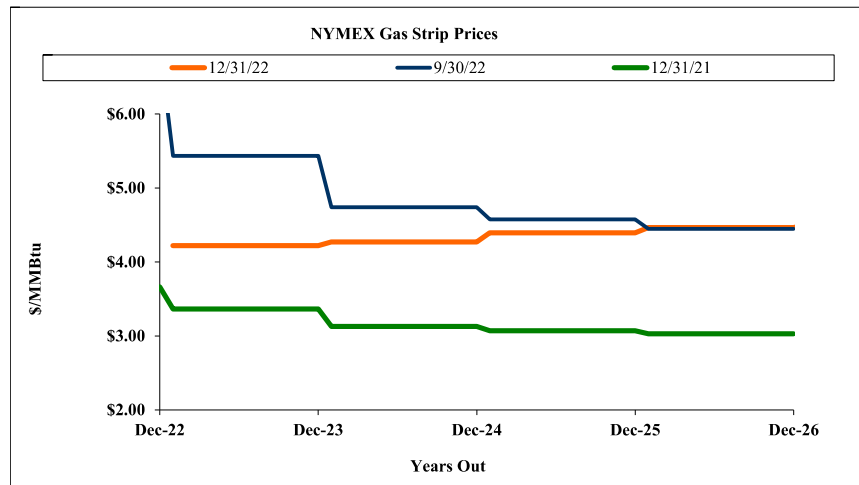


Figure 2: Natural Gas (Henry Hub) Strip Prices

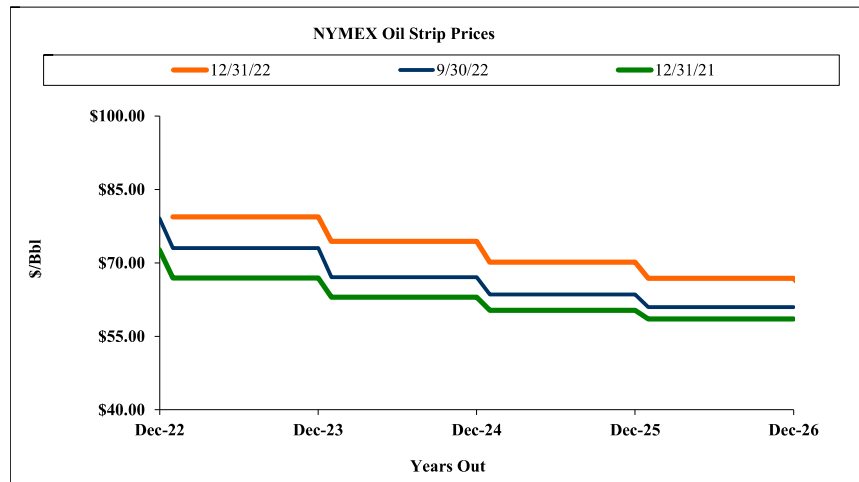


Figure 3: Crude Oil (WTI) Strip Prices

Drilling Activity

During Q4 2022, the total U.S. rig count (as measured by Baker Hughes) increased 1.8% QoQ to 779 rigs. This total rig count represented an increase of 32.9% YoY. The U.S. total natural gas rig count finished the quarter at 156 rigs, down from 159 rigs running at the end of Q3 2022. Year-over-year, the U.S. total natural gas rig count finished up 47.2%. The U.S. total oil rig count increased 2.8% during Q4 2022, moving from 604 rigs at the beginning of the quarter to 621 rigs at quarter-end. Year-over-year, the U.S. total oil rig count is up 29.4% or ~141 rigs.

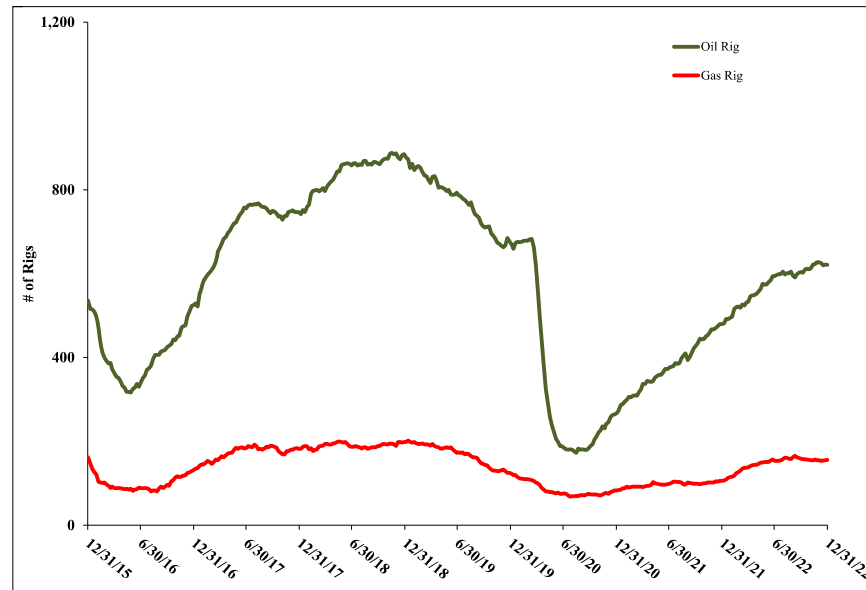


Figure 5: U.S. Total Onshore and Offshore Rig Count

M&A Activity

During 2022 the total M&A upstream deal count fell to its lowest level since 2005 and was down ~24% YoY. Total deal value declined by ~13% during the period to ~\$58 billion and was particularly depressed during the last half of 2022. The decreased upstream M&A deal flow was largely driven by 1) weakening commodity prices during the 2nd half of 2022 and 2) a generally weak U.S. macroeconomic picture and near-term recession fears. The need for public free cash flow heavy operators to secure core inventory and offset production declines should provide a positive backdrop for upstream M&A and private equity backed sellers during 2023. Total upstream M&A deal value came in at ~\$13 billion during Q4 2022, driven largely by the Hamm's family \$5.2 billion take-private of Continental Resources. Other notable transactions during the quarter included 1) Diamondback's \$1.5 billion purchase of Permian assets from Lario Oil & Gas 2) Marathon's \$3 billion purchase of Eagle Ford assets from Ensign Natural Resources and 3) Diamondback's \$1.6 billion purchase of Permian assets from Firebird Energy.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group, National Bank of Canada and U.S. Energy Information Administration.



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund X

Section III: Portfolio Companies

- | | |
|----------------------------------|----------------------------|
| 1. SOUTHLAND ROYALTY | 23. GRAYSON MILL II |
| 2. GRENADIER ENERGY PARTNERS II | 24. ENCAP MINERALS |
| 3. AMERICAN RESOURCE DEVELOPMENT | 25. VERDUN AUSTIN CHALK JV |
| 4. TALON OIL & GAS III | |
| 5. MODA MIDSTREAM | |
| 6. STAGHORN PETROLEUM II | |
| 7. FELIX ENERGY II | |
| 8. VERDUN OIL | |
| 9. PLAINS ALL AMERICAN PIPELINE | |
| 10. RAISA ENERGY II | |
| 11. ADVANCE ENERGY | |
| 12. NOVO OIL & GAS | |
| 13. OGX HOLDING IV-QUINN RANCH | |
| 14. PETROLEGACY ENERGY II | |
| 15. GRAYSON MILL ENERGY | |
| 16. ROYAL HOLLY | |
| 17. AMEREDEV II | |
| 18. FORTIS-OKLAHOMA | |
| 19. MONGOOSE | |
| 20. STAGHORN PETROLEUM III | |
| 21. OLIFANT | |
| 22. ENDURING IV | |



Valuation Assumptions

Valuations have generally been determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

- 1) Private equity securities and mineral interests held during the initial investment period are valued at cost (which is considered fair value) until such time as there is a measurable change in fair market value based upon the assumptions below.
- 2) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

The reserve categories were generally risked as follows:

- a. PDP – no discount applied
- b. PDNP – a 20% discount applied
- c. PUD – a 40% discount applied
- d. Probable – a 80% discount applied
- e. Possible – a 90% discount applied

The average NYMEX strip prices by year as of December 31, 2022 were as follows:

	<u>\$/BO</u>	<u>\$/MMBTU</u>
2023	79.40	4.22
2024	74.42	4.27
2025	70.16	4.39
2026	66.88	4.46
2027+	64.14	4.50

Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued in consideration of the original acquisition price and more recent public or private transactions in similar assets.

- 3) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of actual trailing 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.
- 4) Preferred equity investment in PAA valued using the “if converted” method (including accrued PIK units). As of quarter end, PAA was trading below the conversion price so the valuation is held at the \$26.25/unit grant price. Additionally, PAA announced it will be paying a quarterly cash distribution of \$0.525/unit to all Series A preferred unitholders.
- 5) Staghorn II and III remaining value includes mineral acreage and ORRI’s, deferred payments and net working capital.
- 6) Moda is valued based on the VMH assets at cost.

- 7) Advance is valued based on the terms of their expected sale agreement.
- 8) Grayson Mill is valued based on the expected indemnity holdback per the terms of their sale agreement.
- 9) Fortis-Oklahoma is valued based on the expected indemnity holdback per the terms of their sale agreement.

Note: Valuation assumptions 1) through 9) as presented above apply to all investments currently held by Fund X. The remaining assumptions constitute the standardized valuation methodology to potentially be applied in future periods and are provided for informational purposes only.

- 10) Non-restricted public securities are valued at the quoted price at the end of the quarter.
- 11) Subordinated and restricted public securities (assuming adequate float) are valued at 90% of the quoted price at the end of the quarter.
- 12) Debt securities are valued at the face amount of the note plus accrued interest (less any reserve for uncollectible amounts or credit risk discounts).
- 13) Other private/public equity securities with limited trading volume are valued based on relevant factors including NAV, comparables, significant events, etc.



Southland Royalty Company, LLC

Fully Realized

Company Description

Southland Royalty Company is a privately-held, Fort Worth-based independent oil and gas company focused on building an attractive asset base through an acquisition strategy focused on a variety of domestic unconventional basins. The Southland management team consists of Bob Simpson (Chairman), Keith Hutton (CEO), Vaughn Vennerberg (President), Timothy Petrus (EVP – Acquisitions) and Brent Clum (CFO). The majority of senior management has worked together for over 27 years and has substantial experience operating in numerous onshore domestic conventional and unconventional basins. This team was the core group responsible for making over \$15 billion in oil and gas acquisitions that created the basis for XTO's approximately \$41 billion sale to Exxon in 2009. Southland's strategy is to acquire producing, operated oil and gas assets in areas with multiple rich source rocks targeting a series of known productive zones with stacked pay potential and grow production and reserves through efficient management of operations as well as through development, exploitation and exploration.

Transaction Summary

In February 2015, Fund IX committed \$431.2 million, Fund X committed \$646.8 million and management committed \$22.0 million, providing a total equity commitment of \$1.1 billion to the company. The investment is structured in the form of common equity with the EnCap funds receiving 98% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

On March 31, 2015, management closed on the acquisition of Energen's San Juan Basin asset for \$395 million. The asset consists of ~205k net acres (99% HBP, 85% operated) located on the border of Colorado and New Mexico. At the time of the acquisition, Southland's purchase price was fully-underpinned by PDP value with numerous upside opportunities, several of which are economic even at depressed commodity prices.

On June 30, 2016, management closed on the acquisition of Anadarko's Green River Basin asset for \$610 million. The asset consisted of ~320k net mineral acres and ~34k net leasehold acres (99% HBP or Mineral Ownership) located in southern Wyoming. At the time of the Green River Basin acquisition, the purchase price was predominantly underpinned by PDP value with numerous upside opportunities, several of which are economic even at depressed commodity prices.

In Q4 2016, EnCap and Morningstar (entity majority owned and controlled by Southland management) completed a sell-down of ~\$132 million to reduce EnCap's overall exposure to Rockies gas. The sell-down allowed Morningstar to increase its commitment from 2% to 20%, which improves the alignment between EnCap and Southland management. The new commitment amounts are as follows: \$352 million from Fund IX, \$528 million from Fund X and \$220 million from Morningstar.

Southland filed an amended plan of reorganization during the first quarter of 2021, and the plan was approved during the second quarter of 2021. There was no impact to the Fund due to the wind-down of Chapter 11 proceedings.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-15	\$465,503	\$0	\$0	\$0	0.00x	N/A



Grenadier Energy Partners II, LLC

Fully Realized

Company Description

Grenadier II is a Houston based, privately held oil and gas company founded by the Grenadier I management team led by Pat Noyes, former President and CEO of Stroud Energy. Grenadier I was formed in April 2007 following the sale of Stroud Energy, which generated a 98% IRR and 3.1x IRR on Fund IV's \$27 million investment. In Grenadier I, management built a highly attractive, blocked-up acreage position in the Marcellus Shale consisting of approximately 16,400 net acres in Wetzel County, West Virginia which it ultimately sold to Statoil in December 2012 for total returns net to Fund VI of 1.7x ROI and 26% IRR. In Grenadier II, management is focusing on a lease-and-drill strategy in known producing onshore U.S. basins.

Transaction Summary

In August 2012, Grenadier II was formed with a \$340 million equity commitment comprised of \$200 million from EnCap Fund VIII, \$133 million from Kayne Anderson, \$6 million from management and \$1 million from a passive co-investor. The structure and economic sharing ratios are similar to the prior Grenadier structure, providing the investor group with 98.0% of the available cash until an 8% IRR and 1.25x ROI is earned; thereafter distributions will be allocated on a graduated basis until higher IRR and ROI targets are met. EnCap and Kayne Anderson have full board control with EnCap's approval required for all material board decisions.

In May 2015, EnCap Fund VIII moved \$150 million of its \$200 million commitment to EnCap Fund X to free up capital for Fund VIII and to allow Grenadier II's growth timeline to be better aligned with that of Fund X given the early stage nature of the investment.

Post-Investment Activity

After targeting a number of domestic basins, Grenadier II chose to focus on building a position in North Louisiana targeting the Cotton Valley interval and the company built a ~40,000 acre position. Grenadier II drilled and completed two science wells to test the acreage and gather core and log data; however, these initial test wells did not demonstrate economic results in the current price environment. In Q2 2017, Grenadier sold its assets in North Louisiana in order to shift capital and focus to the Permian.

In Q4 2016, Grenadier shifted its focus from North Louisiana to the Midland Basin through the successful negotiation of a farm-in arrangement with Occidental Petroleum covering ~7,000 net acres in Howard County offsetting attractive drilling results from operators including SM Energy, Surge and Sabalo.

In Q3 2017, Grenadier negotiated a deal to buy out Occidental Petroleum's interest in the Howard County JV for \$42.5 million. This transaction, combined with greenfield leasing, bolt-on acquisitions and acreage trades, has scaled Grenadier's current Howard County acreage position to ~21,000 net acres. The company initiated a delineation program in late 2017 and has drilled and completed multiple operated horizontal wells to-date in the Wolfcamp A and Lower Spraberry zones with positive early-time results. Additionally, substantial industry activity offsetting Grenadier's acreage position has demonstrated encouraging results as the play continues to be de-risked to the east. Grenadier has also participated in a number of non-operated wells on its acreage position with positive results from those wells.

In Q1 2021, Grenadier closed on the sale of ~18,000 net acres and ~9,000 boepd (75% oil), which represents substantially all its assets to Surge Energy for \$420 million of cash consideration. Surge funded a 10% cash deposit (\$42.0 million) into an escrow account which was converted into the holdback amount at closing on March 31, 2021. 50% of the holdback was released after six months, with the remaining distributed prior to YE 2021. Estimated proceeds from the sale, inclusive of the holdback and after accounting for debt and other miscellaneous purchase price adjustments, will generate a 1.4x cash-on-cash ROI net to Fund X.



EnCap Energy Capital Fund X
Portfolio Companies

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-15	\$100,778	\$145,606	\$0	\$145,606	1.44x	8.6%



American Resource Development LLC (“Ameredev”)

Fully Realized

Company Description

Ameredev is a privately-held, Austin-based independent oil and gas company focused on the identification, acquisition and development of oil and gas assets in the Permian Basin. The Ameredev management team is led by Parker Reese (President), Floyd Hammond (VP-Operations), Eric Rhoden (VP-Geology), Noah Bramble (Land Manager), and Ron Zboril (CFO). Mr. Reese was formerly with Three Rivers Operating Co., where he played an active role in evaluating, capturing and developing their Permian position which, through accretive acquisitions and strategic sales, ultimately resulted in a ~3.0x ROI for its investors. Previously, Mr. Reese was employed by Cimarex Energy and ConocoPhillips where he gained valuable experience in the Delaware Basin, Anadarko Basin and Gulf Coast. The team shares a similar mindset with EnCap relative to risk management, capital allocation and opportunity capture. Ameredev will implement an acquire and develop strategy with a focus in the Permian Basin

Transaction Summary

In May 2015, Fund X committed \$247.5 million and management committed \$2.5 million, providing a total equity commitment of \$250.0 million to the company. The investment is structured in the form of common equity with Fund X receiving 99% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Shortly after inception, management identified the Delaware Basin as a focus area due to its strong geologic merits, stacked pay potential, infancy of play compared to the Midland Basin and the team’s historical operational experience in the area. In September 2015, management began PSA negotiations to acquire 3,128 net Wolfcamp acres in Ward County from a distressed seller. This acreage was located in the core of the Delaware Basin, targeting primarily the Wolfcamp A (with potential upside in four additional zones) and included a low pressure gathering and processing system serving the asset. After a drawn-out PSA negotiation, the acquisition ultimately closed in May 2016 for a purchase price of \$86.0 million (\$49.0 million less than initially agreed to amount).

Though the competitive landscape in the Delaware Basin increased significantly post-closing of their initial acquisition, management was able to successfully bolt-on additional offset acreage, primarily through greenfield leasing activities, ultimately amassing 15,413 net Wolfcamp acres and 2,116 net royalty acres (normalized to a 12.5% royalty burden) in Ward and Pecos Counties, Texas.

On December 13, 2016, Callon Petroleum (“Callon”) publicly announced the acquisition of Ameredev for \$615.0 million in cash, implying a dollar per acre purchase price of \$33,672/net Wolfcamp acre after accounting for PDP value, assuming \$40,000 per flowing Boe/d (based on net daily production of ~1,945 Boe/d) and \$18.4 million for gas gathering, infrastructure and saltwater disposal wells and facilities. After escrow release, and after accounting for debt and other miscellaneous purchase price adjustments, Ameredev received \$588.2 million of cash proceeds from the sale of the company’s assets to Callon, resulting in distributions to Fund X of \$487.5 million.

In Q1 2020, Ameredev closed on the sale of substantially all of its remaining ORRI and mineral assets not included in the Callon sale (\$21.6 million net to Fund X).

Valuation (\$000’s)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-15	\$168,300	\$514,432	\$0	\$514,432	3.06x	273.2%



Talon Oil & Gas III LLC

Fully Realized

Company Description

Talon III is a privately held, Dallas-based independent oil and gas company formed by a team of oil and gas professionals led by Grant Henderson. The team initially partnered with EnCap Fund VI in January 2007 and pursued an acquire-and-exploit strategy focused on proved reserves with identifiable upside, principally in the Barnett Shale and Texas Panhandle. Subsequently, Talon I sold its Barnett Shale and Texas Panhandle assets to EnerVest and Devon, respectively, providing EnCap Fund VI with a 66% IRR and 2.7x ROI on its \$136 million investment in the properties. The team subsequently partnered with EnCap Fund VIII in December 2010 with the goal of replicating Talon I's acquire-and-exploit strategy/success; however, it became apparent after more than a year of screening acquisitions that the company needed the ability to also pursue lease-and-drill assets. This led to a merger with Elephant Oil & Gas, an organization with the experience and know-how to source and capture resource play opportunities. The company subsequently established a position in three emerging resource plays, the East Texas Eagle Ford, the Cline Shale and the North Texas Caddo. Talon II's only remaining asset is a non-operated joint venture with EnCap-backed Venado Oil & Gas that requires minimal oversight. Talon II further supplemented its team in order to pursue new opportunities, and EnCap decided to provide the team with a new commitment via Talon III out of Fund X in order to (i) more adequately capitalize the team to pursue larger, strategic acquisitions and (ii) better align the timeline of future assets with the rest of the fund in which they will be housed.

Talon III management team is comprised of key individuals from Talon I and II, including Grant Henderson, Chris Jackson and Elephant Oil & Gas co-founders Bradley Williams and Nick Varel along with three additional team members that were not a part of Talon I and II (Tom Grace – Managing Partner, Ops. & Finance, Kevin Walsh – EVP - Engineering and Kevin Schepel – EVP - Geoscience & Technology). Talon III will target stacked-pay basins with both conventional and unconventional development potential and a diverse hydrocarbon stream.

Transaction Summary

In May 2015, Talon III was formed with a \$300 million total equity commitment comprised of \$281 million from Fund X, \$16 million from co-investors and \$3 million from the management team. The investment is structured in the form of common equity with the investor group receiving 99% of the available cash flow until an 8% IRR is earned; thereafter, distributions are allocated on a graduated basis as IRR targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q4 2016, Talon III exercised an option to buy-in to ~1,400 net acres in Lea & Eddy Counties, New Mexico from Black Mountain Oil & Gas for ~\$11 million. The option was negotiated in 2015 in exchange for the company providing leasing opportunities to Black Mountain as Talon III sought out acquire-and-exploit opportunities in other areas.

On March 18, 2017, Talon III and NGP-backed Black Mountain Oil & Gas signed a PSA with Marathon Oil to sell ~21,000 net acres and associated production in the northern Delaware Basin for \$700 million in an all-cash transaction, with ~\$75 million of value allocated to Talon III's acreage. The transaction closed on June 1, 2017. In addition to the \$51 million of distributions at close, Fund X received additional proceeds of ~\$4 million related to holdbacks for ~\$55 million of total distributions, which equates to a 4.0x ROI on Fund X's total investment in Talon III of \$13.9 million.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-15	\$13,910	\$57,640	\$0	\$57,640	4.14x	243.5%



MODA Midstream LLC

Substantially Realized

Company Description

Moda Midstream (“Moda”) is a privately-held, Houston, Texas-based midstream company led primarily by the former management team of Oiltanking Partners, L.P. (“Oiltanking”) and other industry veterans, including Jon Ackerman, Bo McCall and Javier del Olmo. In early 2018, Ken Owen, the former CEO, decided to retire as CEO and was replaced by Bo McCall. Moda Midstream is focused on becoming the crude oil logistics provider of choice for an expanding, diversified customer base in North America and the surrounding geographic area. Potential customers for Moda’s downstream-focused midstream distribution system include major diversified energy companies, petrochemical companies, waterborne markets and other pipeline distribution systems.

Transaction Summary

In March 2015, EFM III committed \$445.5 million to Moda. Combined with a group of EFM Co-Investors’ (including EnCap Energy Capital Fund X) commitment of \$297.0 million (together with EFM III, the “Investor Group”) and management’s commitment of \$5.6 million, the company had a total equity commitment of \$748.1 million. In conjunction with the Ingleside Energy Center acquisition in Q3 2018, the commitment to Moda Midstream was expanded from \$748.1 million to \$1.9 billion from the following investors:

- EFM III: \$445.5 million
- EFM IV: \$487.5 million
- EFM Co-Investors: \$815.1 million
- EnCap Energy Capital Fund X: \$124.9 million
- Management: \$14.2 million

The investment is structured in the form of common equity, with the Investor Group receiving ~99.2% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EFM holds a majority position on the Board of Managers.

Post Investment Activity

Moda finalized a terminal opportunity with its first joint venture partner in Q1 2016 to develop a crude oil and clean products hub in Houston, Vopak Moda Houston (“VMH”), with plans to include storage, multiple vessel berths and pipeline connectivity. During Q3 2016, a second joint venture terminal opportunity was created with a new partner focused on St. James, Louisiana, Ergon Moda St. James (“EMSJ”).

In September 2018, Moda closed on the acquisition of the Ingleside Energy Center (“IEC”) and certain crude and LPG infrastructure from Occidental Petroleum Corporation (NYSE: OXY). Simultaneous to Moda’s acquisition of the Ingleside Energy Center, Lotus closed on the acquisition of the Centurion and SENM gathering systems from OXY for a combined purchase price of \$2.6 billion.

Ingleside was located near the mouth of the Corpus Christi Ship Channel with minimal transit times to the Gulf of Mexico. The terminal linked the Permian and Eagle Ford through multiple long-haul crude pipelines. IEC was designed to handle a wide range of vessels, including very large crude carriers (“VLCCs”), at high loading rates to maximize shipping economics for its customers. IEC had approximately 2.1 million barrels of storage and three deep-water berths for crude oil at acquisition. Since the acquisition, Moda constructed and placed in-service an additional ~13 MMBbls of contracted storage as part of the Phase I – IV buildout bringing total capacity to ~15 MMBbls.

Moda entered into definitive commercial agreements with two investment grade counterparties at its VMH joint venture to provide ammonia storage services and reached FID on the project in mid-2019. The buildout of the facilities is supported by 15-year contracts.



In Q2 2019, Moda entered into definitive commercial agreements with a large, investment grade counterparty to construct infrastructure to transport and store pressurized gas at its VMH joint venture. The proposed buildout will consist of a rail spur, ~14,000 barrels of pressurized gas storage and associated infrastructure. Developing the gas opportunity significantly enhances the development of a terminalling footprint at VMH.

On October 12, 2021, Moda closed on the sale of IEC and other select assets to Enbridge (NYSE: ENB) for a total consideration of \$3.15 billion including \$3.0 billion in cash at close with the remaining \$150.0 million expected to be funded via a volume-based earnout that EFM and Moda believe to be highly achievable. Upon receipt of the earnout, total realized proceeds are expected to be approximately \$624.6 million, net to EFM III and approximately \$689.6 million, net to EFM IV. The sale resulted in an approximate 16% IRR and 1.5x ROI at close. Upon receipt of the \$150.0 million in earnout payments, EFM expects to yield an ultimate return of approximately 18% IRR and 1.6x ROI on an aggregate invested capital of approximately \$1.6 billion. Moda retains its 50% interest in VMH, which EFM and Moda view as an exciting platform for future growth.

Recent Events

During the quarter, the team executed an additional letter of intent with a customer to provide storage, handling and export services for blue ammonia at VMH. Over the course of the next year the team will engage in a study for engineering and commercial viability with the intent of reaching a final investment decision by Q4 2023. Additionally, the team continues to progress negotiations towards definitive documentation with the customer that signed a letter of intent in early 2022, with hopes to be fully executed by Q1 2023.

The team received the final \$50 million deferred payment related to the sale of MIEC to Enbridge in 2021, bringing the aggregate transaction value for the sale of MIEC to \$3.15 billion.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-15	\$112,393	\$175,473	\$6,805	\$182,278	1.62x	17.2%



Staghorn Petroleum LLC

Substantially Realized

Company Description

Staghorn Petroleum (“Staghorn II”) is a privately-held, Tulsa-based oil and gas company focused on the pursuit of sizeable, high-growth and/or emerging plays through a combination of (i) producing and non-producing property acquisitions, (ii) grass-roots leasing and (iii) farm-ins or joint ventures. The Staghorn II executive management team consists of Frank Eby (Chairman), James Royal (CEO), Peter Vail (CFO), Ken March (VP of Geology), Jeff Frederick (VP of Asset Engineering) and Richard Eby (VP of Land & Business Development). Each team member has garnered significant industry experience and contacts from past roles at companies including Newfield Exploration, Apache Corporation and Staghorn Energy, LLC (“Staghorn I”). EnCap has known Mr. Eby for over a decade and formalized its partnership with him in 2007 via a \$9.3MM equity investment in Staghorn I from Fund VI for a 25% ownership in the company. To date, Fund VI has realized a 2.6x cash-on-cash return on its investment in Staghorn I. Mr. Eby has been able to generate significant value for himself and his shareholders across multiple hydrocarbon price cycles through a strategy of assembling, exploiting and selling E&P assets.

Transaction Summary

In September 2015, Fund X committed \$291 million alongside a family and friends’ commitment of \$3 million and a \$6 million commitment from management for a total initial equity commitment of \$300 million to Staghorn Petroleum. The investment is structured in the form of common equity with Fund X receiving 97% of distributed cash until an 8% IRR and 1.25x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

On March 21, 2017, Staghorn II, Fund VIII-backed Dorado and Fund VI-backed Staghorn I closed on the sale of a combined ~48k net acres and associated production located on the eastern side of the Oklahoma STACK play in Kingfisher/Garfield/Major counties to Apollo-backed Chisolm Oil and Gas Operating, LLC (formerly known as Zenergy Inc.) for \$625 million of cash consideration. This transaction provided Fund X with \$373 million of total distributions, which implies a 2.3x cash-on-cash ROI (assuming no value given to Staghorn II’s retained assets mentioned below) on Fund X’s total investment in Staghorn II of \$165 million. Additionally, the partial sale of certain Dorado and Staghorn I assets via this transaction allowed Fund VIII and Fund VI to receive total distributions of \$121 million and \$1.5 million, respectively.

Staghorn II continues to own ~38k net acres located on the western side of the Oklahoma STACK play predominantly in Woodward, Major, Blaine and Dewey counties, as well as ~16k net mineral acres across the broader STACK play. Following the formation of Staghorn Petroleum II, LLC (“Staghorn III”), Staghorn II and Staghorn III entered into a mutually-beneficial joint venture that allows management to continue creating value for the western STACK assets held by Staghorn II, while also adding to that position in Staghorn III.

In Q4 2019, EnCap and JP Morgan sold the working interest assets held in Staghorn II & Staghorn III to management for ~\$24mm (~\$22mm net to EnCap). The transaction closed in January, and Fund X received net proceeds to Staghorn II of \$5.7 million. Fund X retained an undivided 74% interest in the minerals owned by Staghorn II. Going forward, we intend to monitor development activity within our ORRI position and look to opportunistically exit the investment when market conditions justify doing so.



EnCap Energy Capital Fund X
Portfolio Companies

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Oct-15	\$164,900	\$387,978	\$4,852	\$392,830	2.38x	154.9%



Felix Energy Holdings II, LLC

Fully Realized

Company Description

Felix II is a privately-held, Denver-based independent oil and gas company focused on the identification, acquisition and exploration of liquids-rich resource plays in various U.S. basins. Felix is led by Skye Callantine (CEO), Craig Willenborg (COO), Bill Arnold (VP-Operations), Michael Horton (VP-Land) and John McCready (CFO). Mr. Callantine was formerly an executive with Chesapeake Energy and was primarily responsible for evaluating, capturing and developing Chesapeake's Eagle Ford, Woodbine and Haynesville Shale positions. While at Chesapeake, Mr. Callantine built and developed Chesapeake's Eagle Ford Shale position from a legacy lease position to over 700,000 net acres and 800 producing horizontal wells. EnCap first partnered with Felix in April 2013 in Felix I and, through Q4 2015, had invested \$390 million in equity to: 1) amass 80,000 net acres in the core of the STACK play in Kingfisher, Canadian and Blaine counties, OK, 2) drill wells, 3) develop infrastructure, and 4) purchase mineral and overriding royalty interests in the STACK play. On December 6th, 2015, Felix signed a purchase and sale agreement with Devon ("DEVN") to sell the company's upstream assets for total consideration of \$1.9 billion.

Transaction Summary

In September 2015, Fund X committed \$477.2 million, family and friends of management committed \$7.8 million and the management team committed \$15.0 million, providing a total initial equity commitment of \$500.0 million to the company. Subsequent adjustments to the final commitment related to changes in management and family and friends investors resulted in a final Fund X commitment of \$477.0 million. The investment is structured in the form of common equity with the Investor Group receiving 95.40% of distributed cash until an 8% IRR and 1.0x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In June 2016, Felix II acquired 36,456 net acres in Winkler and Ward counties for \$220.0 million. The position represents a significant foothold in a highly sought after basin that is prospective for multiple formations and has favorable lease terms. Since closing the acquisition in June 2016, the Felix team has actively pursued bolt-on acquisitions to increase scale, further high-grade the acreage position, and increase the number of locations suitable for longer lateral development.

Following the initial acquisition, Felix II amassed ~58,900 net acres primarily in Winkler and Ward counties, Texas. Felix II began a drilling program in early July 2016 and has drilled over 100 wells to-date across six different intervals (Upper Wolfcamp A, Lower Wolfcamp A, Upper Wolfcamp B, Lower Wolfcamp B, 3rd Bone Spring Sand, and 3rd Bone Spring Shale). The company also pursued value-added projects, including the formation of Felix Water, LLC, a subsidiary of Felix that provides water supply and disposal services, as well as its own oil gathering system.

On December 16, 2019, Felix signed a PSA to sell 100% of the company's upstream assets to WPX Energy ("WPX") for total consideration of \$2.5 billion. The purchase price consisted of \$900.0 million in cash and 152.96 million shares of WPX common stock (~26.6% of the outstanding shares) and closed on March 6, 2020. Per the PSA, 1/3 of the common shares were not subject to lock-up while the remaining shares are locked-up for 180 days post-closing. Felix II also has the right to nominate two board representatives for as long as ownership exceeds 20% and one representative above 10% ownership. In addition to the upstream sale, Felix II sold 100% of their midstream assets to Plains All American for \$305.0 million.

On January 7, 2021, WPX completed a merger of equals with Devon Energy. At closing, Felix II owned ~12% of the outstanding shares of the pro forma business, and EnCap retained one board seat.

On January 26, 2021, Felix II signed an agreement to sell its water business for \$300 million to an undisclosed buyer. The transaction closed in March. On February 22, 2021 EnCap sold 26,326,096 freely

Quarterly Review

As of December 31, 2022

26



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund X

Portfolio Companies

tradeable Devon shares resulting in a distribution of \$554 million to Fund X investors. This sale equated to one third of total shares held by Felix II. By Q4 2022, EnCap sold all remaining Devon shares resulting in a total ROI of 7.9x and a 46.3% IRR.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-15	\$335,323	\$2,637,196	\$0	\$2,637,196	7.86x	46.3%



Verdun Oil Company LLC

Company Description

Verdun Oil Company LLC is a privately-held, Houston-based oil and gas company that will pursue the identification, acquisition, and development of oil and gas assets in the United States. The company is led by Tim Nein (President), Daniel Savitz (CFO), Mark Stephenson (Geology), Will Rider (Land/Legal), and Martin Perez (Engineering). Mr. Nein most recently served as the General Manager of Hilcorp Energy's ("Hilcorp") Utica asset, where he led all development functions. Mr. Nein, Mr. Savitz, and Mr. Rider formerly worked together in the New Ventures Group at Hilcorp, where they played a meaningful role in evaluating, capturing, and developing substantial positions across premier basins in the United States. Most notably, this team was involved in or an integral part of the evaluation, capture, and ultimate sale of Hilcorp's 141,000 net acre Eagle Ford position to Marathon Oil Corporation (NYSE: MRO) in June 2011 for \$3.5 billion. Verdun will implement an acquire and develop strategy with a focus on partially de-risked, statistically proven oil-weighted properties located in South and West Texas. The team will concentrate primarily on making acquisitions with a steady production base in areas with the highest quality rock and a sizeable inventory of repeatable development opportunities located in an industry-friendly environment.

Transaction Summary

In December 2015, Fund X committed \$247.5 million to Verdun and management committed \$2.5 million, providing a total equity commitment of \$250.0 million. The investment is structured in the form of common equity, with Fund X receiving 99% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In August 2016, Fund X committed \$190.0 million to PayRock II and management committed \$10.0 million, providing a total equity commitment of \$200.0 million. The investment is structured in the form of common equity, with Fund X receiving 95% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In December 2019, EnCap closed on the consolidation of PayRock II's Eagle Ford upstream assets under the management of Verdun. The assets consist of ~11,500 net acres in La Salle and McMullen County of the Eagle Ford trend. PayRock II had drilled and completed three Lower Eagle Ford wells in order to delineate and prove up the leasehold position. The combined assets have an unfunded equity commitment of \$108.9 million which includes the release of \$121.6 million of PayRock II's remaining commitment.

PayRock II Holdings, LLC ("PayRock II") was a privately held, Oklahoma City based independent oil and gas company focused on the acquisition and exploitation of assets within the Anadarko Basin. PayRock II was led by Rick Kirby (CEO), Steve Henley (VP Operations), and Chad Ford (VP Land). EnCap first partnered with PayRock in November 2012 in PayRock I and, through Q2 2016, had invested \$135 million in equity to amass ~61,000 net acres in the core of the STACK play in Kingfisher, Canadian, and Blaine counties, Oklahoma, drilled 35 operated wells, and participated in over 65 non-operated wells. On August 1, 2016, PayRock I closed on the sale of their 61,000 net acre position and ~9,000 Boe/d of production to Marathon Oil Corporation (NYSE: MRO) for an all-cash consideration of \$887.5 million. Prior to forming PayRock, the team worked together at SandRidge and was involved in the company's initial entry into the Mississippi play where they were responsible for drilling over 250 wells in the area.

Post Investment Activity

In October 2016, Verdun closed on the acquisition of 9,286 net acres and 38 horizontal Eagle Ford wells, collectively producing ~1,785 Boe/d (57% oil, 78% liquids), from Noble Energy, Inc. (NYSE: NBL) for \$68.2 million. The acreage was 54% HBP and located primarily in La Salle and Dimmit Counties, Texas. The \$68.2 million purchase price was underpinned by \$52.6 million of proved undeveloped value. The



primary upside identified by management was the increased resource recovery and return potential of the Eagle Ford through the application of modern completions.

In May 2017, Verdun closed on a second Eagle Ford acquisition from Noble Energy including ~1,900 net acres, 573 Boe/d (78% oil) of current production, and approximately \$20 million of PDP PV-10 for a \$52.0 million upfront cash payment plus a \$12.0 million contingency payment if WTI averages at or above \$55.00/bbl over three months in the next 18 months. The acreage was 100% HBP and located in the core of the Eagle Ford trend in DeWitt and Gonzales Counties, Texas. Pro forma for this acquisition, Verdun had accumulated approximately 12,700 net acres across the Eagle Ford.

Subsequently, in September 2017, Verdun closed on an Eagle Ford acquisition from BHP including 2,641 net acres, 1,230 Boe/d of current production, and approximately \$16 million of PDP PV-10 for \$30 million. The acreage was 100% HBP and located in the core of the Eagle Ford trend in Live Oak County, Texas, offsetting Verdun's existing Lopez Ranch acreage. Pro forma for this acquisition, Verdun has amassed approximately 15,340 net acres across the Eagle Ford.

In March 2018, Verdun closed on the acquisition of ~2,200 net acres in the McMullen County oil window from BP (NYSE: BP) for \$28.0 million. The majority of the acreage is undeveloped and has a highly attractive ~82% NRI. Subsequently in April 2018, Verdun closed on the acquisition of ~5,500 net acres and ~600 Boe/d of production in Live Oak and Karnes Counties, TX for \$110.0 million from ConocoPhillips (NYSE: COP). The acreage is 100% HBP with an average 86% WI and 65% NRI and is oriented in a way that allows for long lateral development.

In October 2018, Verdun executed G&P partnership agreements with Aspen Midstream, LLC ("Aspen"), a portfolio company of EnCap Flatrock Midstream Fund III, to form Aspen Midstream Partners Holdings ("AMP") which will initially be owned 100% by Aspen and subject to Verdun's option to acquire up to 25% by July 2019. Aspen Management is engaged in commercial discussions with various third party producers and has commenced the initial design and construction of a rich/lean gas gathering and treating system, a residue gas pipeline ("AMP Intrastate Pipeline") connecting the gathering system to a gas storage and distribution hub in Katy, Texas and purchased a processing plant ("Battle Horse Plant").

In December 2019, Verdun signed a PSA to acquire PayRock II Holdings LLC, a Fund X company, for \$6.0 million. The assets included approximately 11,000 net acres in the Eagle Ford with PDP PV-10 of \$6.0 million. The acquisition was funded by a subordinated unsecured note issued by EnCap Fund X.

In Q2 2020, Verdun signed an agreement with EnCap to manage Protégé's Eagle Ford assets on behalf of Fund IX. Protégé will pay to Verdun a management fee of \$3 MM a year, with annual redeterminations going forward.

Prior to the commodity price downturn, Verdun had positioned the company to make distributions to equity holders within cash flow. Management made their first distribution in Q4 2019 and two distributions prior to suspending the program in response to low prices. In Q4 2020, after sufficiently reducing leverage, Verdun restarted their distribution program.

Recent Events

Verdun continues to develop its extensive asset base within cash flow. We expect Verdun to continue to make distributions while maintaining a modest leverage profile.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jan-16	\$207,000	\$454,546	\$769,007	\$1,223,553	5.91x	N/A



Plains All American Pipeline, L.P. (NYSE: PAA)

Company Description

Plains All American Pipeline, L.P. (“PAA”) is a publicly-traded master limited partnership headquartered in Houston, Texas that owns and operates midstream energy infrastructure and provides logistics services for crude oil, natural gas liquids (“NGL”), natural gas, and refined products. PAA owns an extensive network of pipeline transportation, terminalling, storage, and gathering assets in key crude oil and NGL producing basins and transportation corridors, and at major market hubs in the United States and Canada. The PAA management team and EnCap have a long-standing relationship and a history of successful investments. In 1998 and 1999, EnCap Fund III invested \$49.5 million in Plains Resources through two redeemable convertible preferred offerings on which EnCap Fund III realized a 2.4x ROI. In 2001, EnCap Fund III invested \$26.6 million in PAA in exchange for a 9% interest in PAA’s general partner and 850,000 subordinated units in PAA on which EnCap Fund III realized a 6.6x ROI. Additionally, EnCap Fund V acquired 2.1% of PAA’s general partner for \$9 million, and in 2006, EnCap Fund V acquired 117,000 common units for \$5.8 million. EnCap Fund V realized a 5.0x ROI on these investments. Further, Gary Peterson, an EnCap Managing Partner and Founder, has served on the Board of PAA since EnCap Fund III’s investment in PAA’s general partner in 2001.

Transaction Summary

In January 2016, PAA management offered EnCap the lead investor role in a \$1.6 billion perpetual convertible preferred equity offering, of which EnCap Fund X and EnCap Flatrock Fund III were each allocated \$285 million (\$280 million purchase price). The proceeds will be used to fund the majority of a multi-year growth capex program that is heavily underpinned by minimum volume commitments or similar contractual support and will be focused on the most economic resource plays in North America. The preferred units will pay quarterly distributions at an annual rate of \$2.10 per unit; however, PAA has the option to pay distributions in-kind until December 31, 2017. Additionally, the units are convertible at the holders’ option into PAA common units on a one-for-one basis after two years and are convertible at PAA’s option under certain circumstances after three years. EnCap views this transaction as an excellent opportunity to invest behind one of the best management teams in the energy industry controlling the largest crude-centric MLP with a leading position in North America’s best resource plays.

Post Investment Activity

For further information about Plains All American please reference publicly disclosed information found at the Company website: <http://www.plainsallamerican.com/>

Recent Events

PAA continues to make quarterly cash dividends (\$6.7 million net to Fund X) on Fund X’s preferred equity investment. In January 2023, EnCap, EFM, and the other investors elected to exercise their one-time option to reset the annual rate to 9.375% from 8.0%. This option was negotiated in the original notes purchase agreement and will increase the annual distribution from \$2.10 per unit to \$2.46 per unit. Based on Fund X’s original investment, the notes will yield over 11% on a go-forward basis.

Valuation (\$000’s)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jan-16	\$280,000	\$126,741	\$339,468	\$466,209	1.67x	N/A



Raisa Energy II, LLC

Fully Realized

Company Description

Raisa II is a privately held, Denver-based independent oil and gas company focused on building an attractive non-operated asset base through acquiring small non-operated working interests and mineral interests in the core of de-risked basins that demonstrate the most economic drilling opportunities in the country. Raisa's initial focus was on the DJ Basin, the SCOOP/STACK, and the Bakken, and the team has since expanded to the Delaware Basin. The Raisa management team consists of Luis Rodriguez (CEO), Casey Harless (VP – Land), Jeremy Cook (CFO), and Ayman Kaheel (VP – Data Analytics). Rodriguez formed his first non-operated E&P venture, Raisa Energy ("Raisa I"), in March 2015 and subsequently recruited the additional management team members to build out the team. Casey Harless was highly involved at Raisa I on a contract basis, sourcing substantially all of the acreage acquisitions. Jeremy Cook and Ayman Kaheel joined the management team shortly after closing the equity commitment.

Raisa's strategy is focused on expediently and economically converting small blocks of core undeveloped acreage into production many times over. The team is concentrated on acquiring and developing small non-operated working interests in the core of de-risked basins that demonstrate the most economic drilling opportunities in the country. The Raisa team performs intense geologic and engineering analysis to identify the best sections under the best and most efficient operators, generating a significant competitive advantage versus small local competitors. The strategy is exclusively concentrated on tier-one acreage in heavily delineated areas of highly economic basins, which helps to mitigate both geological and engineering risk and ensure timely development of acquired acreage.

Transaction Summary

In April 2016, Fund X committed \$183.4 million, co-investors committed ~\$13 million, and management committed ~\$4 million, providing a total equity commitment of \$200 million to the company. Co-investors and Management contributed \$12 million of assets, consisting of producing properties and DJ Basin acreage, and committed \$5 million of additional equity capital. The investment is structured in the form of common equity with Fund X receiving 92% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q1 2018, Raisa's total equity commitment was expanded by \$100 million (comprised of ~\$92.4 million from Fund X, ~\$6 million from co-investors, and ~\$2 million from management). The expanded commitment will be utilized to continue creating an attractive portfolio of non-operated and mineral assets in the company's existing basins with potential to expand into additional basins.

In Q3 2019, Raisa closed the industry's first Investment Grade rated securitization, collateralized by a subset of PDP wellbores, and made a \$50 million 8/8ths distribution in Q4 2019.

During the 4th quarter of 2021, we successfully closed the sale of Raisa Energy II, LLC to Savitar Energy Holdings, LLC, a company formed by Ares and Citadel. Net to EnCap, \$222.2 million of cash proceeds to Fund X were received, representing a 1.06x ROI.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-16	\$252,662	\$268,110	\$0	\$268,110	1.06x	1.5%



Advance Energy Partners, LLC

Substantially Realized

Company Description

Advance Energy Partners is a privately-held, Houston-based independent oil and gas company focused on building an attractive asset base through an acquisition strategy focused on the Permian Basin. The Advance management team originally consisted of Peter Lellis (CEO), Ed Caamano (VP – Geoscience), David Harwell (VP – Engineering), David Scott (VP – Land) and Kevin Hays (CFO). Each technical team member has 30+ years of industry experience and substantial contacts in the industry from past roles at companies such as ConocoPhillips, Pioneer Natural Resources, Canadian International Oil Company and Laredo Petroleum. Most of the founding team members (excluding Kevin Hays) worked together on numerous projects at ConocoPhillips and developed a strong cohesion among the team. While at ConocoPhillips, Mr. Lellis served as Chief Geophysicist for U.S. Onshore, and he along with his team were responsible for several multibillion projects resulting in significant value creation.

Transaction Summary

In September 2014, Fund IX committed \$297.0 million and management committed \$3.0 million, providing a total equity commitment of \$300.0 million to the company. In May 2016, Fund IX's commitment was transferred to Fund X as a means to manage Fund IX's overall commitment level. Fund X reimbursed Fund IX for start-up costs incurred to date plus interest at 8%. In Q3 2017, the total equity commitment was expanded by \$150.0 million, comprised of \$148.5 million from Fund X and \$1.5 million from management, providing a total equity commitment of \$450.0 million.

The management interests of Advance were fully repurchased in Q4 2021. Ameredev II now operates the Advance assets under MSA, with a new management incentive structure in place. Fund X receives 100% of distributed cash until an 8% IRR is achieved on \$910 million of deemed equity value. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

During Q3 2017, Advance closed on a two-part acquisition of ~6k net acres (100% HBP / 100% WI / 78% NRI) with production of ~1,100 Boe/d (82% oil) in Lea County, NM from two private sellers. The asset represented one of the few remaining large, contiguous acreage positions in a premier area of the Delaware Basin. In conjunction with the acquisitions, in Q3 2017, Advance's total equity commitment was expanded by \$150 million (comprised of \$148.5 million from Fund X and \$1.5 million from management).

Due to an unforeseen terminal cancer diagnosis of a key management team member, EnCap made the difficult but prudent decision to buy out management's interests in the company during Q4 2021. The Ameredev II management team took over operations given their close proximity to the Advance assets, deep understanding of the area, and experience running a multi-rig development program.

Recent Events

On January 24, 2023, Advance signed a securities purchase agreement ("SPA") to sell all operated and non-operated properties in New Mexico and Texas to Matador Resources Company (NYSE: MTDR) for total consideration of \$1.6 billion in cash. In addition, Advance is eligible for monthly contingent payments equal to \$7.5 million per month for 12 months should WTI average greater than \$85.00/bbl over the calendar month. Closing is expected in early Q2 2023.

Advance will continue to retain a portfolio of royalty assets that were excluded from the transaction. These assets consist of ~2,300 NRA with LTM cash flow of ~\$13 million and are 100% owned by Fund X.



EnCap Energy Capital Fund X
Portfolio Companies

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-16	\$435,418	\$12,664	\$1,162,982	\$1,175,646	2.70x	22.1%



Novo Oil & Gas Holdings, LLC

Company Description

Novo Oil & Gas Holdings, LLC (“Novo”) is a privately held, Oklahoma City based independent oil and gas company focused on the pursuit of statistically proven, liquids-rich unconventional assets within the Anadarko and Permian Basins. Novo is led by Tim Fahler (CEO) and John Zimmerman (CFO), two former managers of PayRock Energy, LLC (“PayRock I”), that played an integral role in the company’s successful sale of its core STACK position to Marathon Oil Corporation (NYSE: MRO) in August 2016. While at PayRock I, these individuals served as the Vice President of Reservoir Engineering and Business Development and Vice President of Finance, respectively. Management demonstrated the ability to evaluate, capture, and develop a sizeable and marketable asset while adapting to challenging market conditions and creating significant value. Novo’s strategy is to leverage Management’s expertise, relationships, and experience to make land acquisitions in the most economically compelling areas of the Permian Basin, in addition to testing STACK analogs within the Permian Basin. Novo plans to execute a return-focused strategy to build a consolidated footprint through greenfield leasing, farm-ins, joint ventures, and acquisitions based on regional geologic mapping and targeted geological prospects. Additionally, Novo intends to execute a minerals strategy within the Permian.

Transaction Summary

In August 2016, Fund X committed \$196.0 million to Novo and management committed \$4.0 million, providing a total equity commitment of \$200.0 million. The investment is structured in the form of common equity, with Fund X receiving 98% of distributed cash until an 8% IRR and 1.0x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In 2017, Novo assembled ~14,675 net prospective acres in Ector County, Texas on the Central Basin Platform. Management targeted this area for its analogous characteristics to the STACK play of the Anadarko Basin, an area where the team has significant operational and technical expertise. After monitoring wells from several private operators in the area, the Company drilled and completed one horizontal well to test the prospectivity of the Meramec on its position in Q1 2018. The performance of the initial test well has been disappointing, and the play itself remains in the early stages of delineation. Rather than expose additional capital to the project area, the Company has decided to focus its efforts on the northern Delaware Basin and allow other operators in the area to delineate the play before exposing any incremental capital. In 2019, Novo brought in a third party to further delineate the position. The third party carried Novo for its portion of the well cost and the additional well results were not encouraging. There are no plans to expose additional capital to this project area. The Company will opportunistically market its position in Ector County and redeploy any proceeds into the Delaware.

Novo began assembling acreage in Eddy County, New Mexico in August 2017 through various number of small trades. In September 2018, Novo made a large acquisition (1,280 net acres) through the BLM lease auction in New Mexico. The acreage represents some of the most prolific rock in the Delaware Basin, and the lease terms are advantageous, characterized by ten-year lease terms, no pugh clauses, and 87.5% NRIs.

In Q2 2019, Novo acquired ~3,500 net royalty acres (normalized to 1/8th) (“NRAs”) directly offset and underneath its operated position in northern Eddy County for ~\$30.0 million or ~\$6,900 per NMA. These mineral interest are perspective for multiple highly economic zones and are located where industry activity is ramping, and in some instances, where Novo will directly control the development pace.

In Q3 2019, Novo acquired ~1,500 net acres and ~3,700 NRAs directly offset and underneath its operated position in northern Eddy County for \$62.5 million or ~\$10,400/ acre and ~\$12,500/NRA. The royalty



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund X

Portfolio Companies

interest acquired is largely located underneath Novo operated acreage, and Novo will directly control the development pace.

In Q2 2021, Scala Energy, LLC's (another Fund X portfolio company) assets were acquired by Novo management. The assets had been previously managed by Novo since April 2020 via MSA.

Recent Events

In Q4 2022, Novo dropped from a 3-rig to a 2-rig development program funded with operating cash flow. The company also continued their distribution program with \$50 million of distributions made in the quarter and plans to continue making regular distributions through 2023. In addition to development activity, Novo continues to focus on blocking up its core leasehold position in Eddy County, New Mexico.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Aug-16	\$491,336	\$269,516	\$914,028	\$1,183,544	2.41x	N/A



OGX Holding IV, LLC-Quinn Ranch

Company Description

OGX IV is a privately held Midland based independent oil and gas company focused on acquiring and exploiting oil and gas properties in the Permian Basin. OGX was founded by Richard Coats and Frank Agar in October 2002. Both individuals each have over 25 years of experience as independent owners and operators of oil and gas properties in the Permian Basin. The team initially partnered with EnCap Fund V in 2006 and subsequently sold the majority of its assets to Legend Natural Gas III in March 2008 for approximately \$173.5 million in cash, providing a 2.8x ROI and 92% IRR on Fund V's \$32.2 million investment. The team then partnered with EnCap Fund VII in 2008 and pursued a drill bit growth strategy in the Permian Basin. OGX II was substantially realized through three separate transactions, generating \$331.7 million in cash for Fund VII or a 3.3x realized ROI to date on \$101.0 million invested. OGX II has additional stub value in minor unrealized assets which will enhance the overall returns to Fund VII. OGX III was founded in January 2015 and has invested substantially all of its \$500.0 million total commitment capturing an attractive minerals portfolio in the core of the Midland and Delaware basins, which remains unrealized. Given OGX III's limited capacity for incremental investment, OGX IV was formed in August 2016 to pursue additional opportunities. The OGX IV management team is led by the same management team as OGX III, which includes the OGX founders, Richard Coats and Frank Agar, and Austin Campbell and Brendan Fikes, two seasoned mineral acquirers with strong track records in value creation in the Permian Basin. OGX IV will maintain the same dual-track strategy of 1) acquiring mineral interests in the Midland and Delaware basins and 2) aggregating and developing unconventional exploration and production opportunities throughout the Permian Basin.

Transaction Summary

Fund X formed a limited liability company with OGX IV in August 2016, committing \$240.0 million. The management team committed \$10.0 million providing total capital committed of \$250.0 million to the company. In Q4 2017, the total equity commitment was expanded to \$500.0 million, comprised of \$480.0 million from Fund X and \$20.0 million from management. The investment takes the form of common equity with Fund X receiving 96% of the available cash flow until an 8% IRR and a 1.0x ROI is earned, and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. All exploration and production assets will be held in OGX Holdings IV, LLC, while for tax purposes mineral related interests will be held in Santa Elena Minerals IV, LP (both entities collectively referred to as "OGX IV"). EnCap holds a majority position on the Board of Managers.

In June 2021, OGX IV contributed the entirety of its Permian mineral portfolio outside of Quinn Ranch (~18,400 net royalty acres) to EnCap Minerals in exchange for 16.7% ownership in the pro forma entity. OGX management was bought out of its interests in these contributed assets, and Fund X holds this equity ownership directly. OGX management retained its ownership interests in the separate entity, "OGX Holding IV, LLC-Quinn Ranch", which is legally named Morita Ranches Holdings, LLC. The investment takes the form of common equity with Fund X receiving 96% of the available cash flow until an 8% IRR and 1.0x ROI is earned, and thereafter distributed are allocated on a graduated basis until higher IRR and ROI targets are met. A subset of the former OGX management team is managing this entity with minimal overhead to maximize value from the surface and minerals of the Quinn Ranch. EnCap holds a majority position on the Board of Managers of the new go forward entity.

Post Investment Activity

In September 2017, the company agreed to acquire 50% of the mineral interests owned by the Quinn family under the Quinn Ranch in southwest Howard County for \$122.5 million. The Quinn Ranch represents one of the largest, concentrated, and undeveloped blocks in the core of the Midland Basin, allowing for efficient development with long laterals and centralized surface facilities. At the time of the transaction, the leasehold was tied up in litigation between Endeavor and Energen (Diamondback), and the deal was structured with an initial \$25 million down payment with the balance due upon resolution of the lawsuit.



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund X

Portfolio Companies

This lawsuit was finalized in Q2 2021, and the company funded the remaining \$97.5 million due under this contract in June 2021.

In June 2019, the company agreed to acquire the remaining 50% of the mineral interests owned by the Quinn family, as well as 100% of the (11,400 surface acres), for total consideration of \$170.0 million. Currently, the company holds ~17,600 net royalty acres and the entirety of the surface across the Quinn Ranch, which Endeavor now operates.

In June 2021, OGX IV contributed all of its Permian mineral portfolio outside of the Quinn Ranch (~18,400 net royalty acres) to EnCap Minerals in exchange for 16.7% ownership in the pro forma entity.

Recent Events

Recently, Endeavor started drilling 12 wells across two pads (2.0 net wells to OGX IV) with expected first production in Q2 2023. We expect to see meaningful cash flow growth from this activity and subsequent distributions from ongoing operations on the ranch. EnCap is actively managing the Quinn Ranch to maximize the value of this investment.

Valuation (\$000's)

The Unrealized Value is based on a cash flow multiple of actual trailing 12 month cash flow.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jun-16	\$257,576	\$12,960	\$354,306	\$367,266	1.43x	N/A



PetroLegacy Energy II, LLC

Company Description

PetroLegacy II is a privately held, Austin-based independent oil and gas company focused on acquire-and-exploit opportunities with a specific focus on the South Texas Eagle Ford. The management team consists of Jason Churchill (CEO), Aaron Gutierrez (EVP of Asset Development & Engineering), JD Braddock (EVP of Business Development & Land), and Kris Simpson (CFO). Prior to the formation of PetroLegacy, certain members of the management team worked together in leadership roles at Fund VIII-backed Venado Oil & Gas. Mr. Churchill was previously VP of Operations at Venado and led the drilling of Venado's 40 Eagle Ford wells. Prior to Venado, Mr. Churchill led an operations engineering team within XTO Energy. Prior to joining Venado as Reservoir Engineering Manager in 2016, Mr. Gutierrez was the lead engineer across several asset areas at Samson Resources. Mr. Braddock was Land Manager at Venado and led the land acquisition efforts of more than 250,000 acres in the East Texas Eagle Ford and South Texas. He previously played a key role in the land function at Broad Oak Energy. Prior to joining PetroLegacy, Mr. Simpson served as CFO at Luxe Minerals and Luxe Energy, where he led the company's financial and business development efforts.

Transaction Summary

In July 2016, Fund X committed \$149.7 million and management committed \$0.3 million, providing a total equity commitment of \$150 million to the company. The investment is structured in the form of common equity with Fund X receiving 99.8% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

On March 13, 2017, PetroLegacy signed a PSA to acquire 20,088 net acres in Martin County, Texas from Pioneer Natural Resources for \$266MM. The asset included PDP PV-10 of \$38MM from current production of 1,440 Boe/d. After backing this value out of the purchase price, PetroLegacy acquired the position for an acreage value of ~\$11,350/acre. Management closed on the acquisition in Q2 2017. In conjunction with the acquisition, PetroLegacy's total equity commitment was expanded from \$150 million to \$400 million (100% of the expansion net to Fund X).

Recent Events

Since closing the Martin County acquisition, PetroLegacy has executed several bolt-on acquisitions and grown its position to ~25,000 net acres. PetroLegacy continues to opportunistically bolt-on acreage, acquire minerals, and build out water-related infrastructure for its development program and third-party volumes. The company continues to operate its 2-rig development plan with positive results.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Sep-16	\$443,279	\$0	\$932,786	\$932,786	2.10x	N/A



Grayson Mill Energy, LLC

Substantially Realized

Company Description

Grayson Mill Energy is a privately held, Houston-based independent oil and gas company focused on the acquisition and development of oil and gas properties in the Rockies region and South Texas. The Grayson Mill management team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdorn (VP-Business Development). Mr. Bayes was most recently VP Operations with Oasis Petroleum (“Oasis”), where he managed the entirety of Oasis’ operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company’s Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdorn previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdorn worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC’s successful strategy to enter the Wattenberg and Piceance basins. The team has also been supplemented with technical members who have extensive industry experience in the Rockies. Grayson Mill will take a strong, data-driven and operational approach to identify, capture, and exploit assets in the underappreciated Rockies basins.

Transaction Summary

In October 2016, Fund X committed \$174.4 million and management committed \$0.7 million, providing a total equity commitment of \$175.1 million to the company. The investment is structured in the form of common equity with Fund X receiving 99.6% of distributed cash until an 8% IRR and 1.20x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In Q2 2017, Grayson Mill entered the Powder River Basin through the acquisition of ~4,000 net acres from Abraxas. The company subsequently expanded its position through a series of low-cost acquisitions and leasing.

In Q4 2017, Grayson Mill divested ~19,000 net acres in the Powder River Basin to an incumbent operator for \$27 million, which generated a 1.56x ROI on the divested acreage. The Board viewed this sale as a prudent way to mitigate risk given the project’s capital exposure level and certain land surface issues on the divested acreage.

Recent Events

Grayson Mill had ~24,000 net acres in a consolidated block offset Devon’s “Atlas West” project area prospective for multiple benches including the Niobrara and Turner formations. The company completed two Turner wells in Q4 2020 and Q4 2021 with results that met type curve expectations and yielded compelling economics in the current environment. However, this position proved to be difficult to scale and to allocate incremental capital to given unfavorable exit considerations in the Powder River Basin.

Over prior years, the company explored strategic alternatives including attracting a JV partner or an outright sale. In Q3 and Q4 2022, Grayson Mill ran an internal process to gauge market interest in an outright sale. Ultimately, EOG Resources presented the highest valuation, and in Q4 2022, Grayson Mill sold its assets to EOG for \$35 million in cash consideration. The company is maintaining a modest cash balance as a holdback and plans to distribute remaining value over the course of 2023 to wind-up the affairs of this entity. Management will dedicate the entirety of its focus on Grayson Mill II.

Quarterly Review

As of December 31, 2022



EnCap Energy Capital Fund X
Portfolio Companies

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Oct-16	\$58,733	\$37,316	\$6,165	\$43,481	0.74x	(7.2)%



Royal Holly Energy, LLC

Fully Realized

Company Description

Royal Holly is a privately held, Tyler-based independent oil and gas company that will pursue the acquisition and development of oil and gas assets in the Ark-La-Tex Basin, primarily focusing on the liquids-rich Cotton Valley trend. Management is led by Greg Wood (President & CEO), Kevin Reed (EVP Land, BD, & Corporate Planning), Larry Tschirhart (VP Operations), David Rice (VP Engineering), and Nicholas Drumsta (VP Exploration). Management has an average of over 25 years of industry experience, and all members of management have dedicated a significant portion of their careers focused in the Ark-La-Tex, which provides Royal Holly with invaluable expertise and strong relationships in its focus area. Of note, Mr. Wood was a founding member and led all land and business development functions for three successful, NGP-backed companies (Classic I, II, and III) from 1998-2005 and later served as VP Land for Tanos Exploration I from 2008-2013. The three Classic entities each generated a minimum of a 4.0x ROI and returned a total of \$240.0 million in proceeds on \$40.0 million of invested capital. Mr. Tschirhart served as VP Operations for all three Classic entities and was most recently a Partner and VP Engineering for East Texas Oil & Gas. Mr. Reed served as Land Manager for Navidad Resources (Fund VI) from 2010-2013 and has served as the land and BD manager for Buffco Production since then, leading over \$500.0 million in asset deals across multiple basins. Mr. Rice has extensive operations and reservoir experience in tight gas sands in East Texas and Oklahoma, specifically with JW-Operating and Amoco. Finally, Mr. Drumsta has held various technical and managerial positions for multiple operators including PetroQuest, which is actively drilling the Cotton Valley. Management will rely on subsurface data and historical well data to identify focus areas with key attributes that the team has found to be critical for success in the play. The team will then leverage its depth of relationships to capture a small but scalable position through a combination of acquisitions, leasing, and farm-ins.

Transaction Summary

In January 2017, Fund X committed \$148.5 million and management committed \$1.5 million, providing a total equity commitment of \$150.0 million to the company. The investment is structured in the form of common equity with Fund X receiving 99% of distributed cash until an 8% IRR and 1.0x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Since inception, Royal Holly has executed on its strategy of capturing low-cost acreage positions with attractive horizontal upside in the liquids-rich area of the Cotton Valley in East Texas. In Q2 2017, Royal Holly closed on the acquisition of ~11,200 net acres in two distinct transactions. The first was the acquisition of ~4,200 net operated acres in Harrison and Marion counties, Texas in the Woodlawn Field. The second acquisition included ~7,000 net non-operated acres in the South Overton Field in Smith and Cherokee counties, Texas. In Q3 2017, Royal Holly acquired a third project in the Cotton Valley in the Willow Springs area, which includes ~3,700 net operated acres in Gregg and Harrison counties, Texas. Additionally, management reached an agreement on a “drill-to-earn” deal in the Woodlawn area. The acreage is intermingled and contiguous to the team’s current acreage and represents ~7,000 gross acres of bolt-on Cotton Valley rights. The agreement was structured with minimal upfront capital exposure and future capital requirements.

Overall, the company’s acreage position includes ~17,200 net acres (includes bolt-ons and leasing in the aforementioned project acres) that are substantially HBP and have a low cost basis of ~\$310/acre after backing out PDP value. There are several horizontal rigs running in the Cotton Valley trend and permitting by offset operators continues.

After monitoring results from Royal Holly’s first horizontal well, it became apparent that horizontal Cotton Valley drilling has more variability and risk than the company initially believed. As such, EnCap made

Quarterly Review

As of December 31, 2022

EnCap Energy Capital Fund X

Portfolio Companies

the strategic decision to halt all activity. In Q1 2019, Royal Holly divested its assets to three separate buyers for ~\$9 million in total. While disappointing, the opportunity set did not merit additional capital or G&A expense, and we believed it prudent to liquidate the company.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-17	\$26,166	\$8,704	\$0	\$8,704	0.33x	(46.4)%



Ameredev II, LLC (“Ameredev II”)

Company Description

Ameredev II, LLC is a privately-held, Austin-based independent oil and gas company focused on the identification, acquisition and development of oil and gas assets within the U.S. The Ameredev II management team is led by Parker Reese (President), Floyd Hammond (VP-Operations), Eric Rhoden (VP-Geology), Noah Bramble (Land Manager), and Ron Zboril (CFO). Mr. Reese was formerly with Three Rivers Operating Co., where he played an active role in evaluating, capturing and developing their Permian position which, through accretive acquisitions and strategic sales, ultimately resulted in a ~3.0x ROI for its investors. Previously, Mr. Reese was employed by Cimarex Energy and ConocoPhillips where he gained valuable experience in the Delaware Basin, Anadarko Basin and Gulf Coast. The team shares a similar mindset with EnCap relative to risk management, capital allocation and opportunity capture. The team initially partnered with EnCap Fund X in May 2015 through Ameredev I and subsequently sold the majority of its assets to Callon Petroleum (“Callon”) in December 2016 for \$615.0 million in cash, providing a 2.7x ROI at closing on Fund X’s \$168.3 million invested.

Transaction Summary

In February 2017, Fund X committed \$388.0 million and management committed \$12.0 million, providing a total equity commitment of \$400.0 million to the company. The investment is structured in the form of common equity with Fund X receiving its pro-rata percentage of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. In Q3 2018, the total equity commitment was increased by \$300.0 million, comprised of \$297.0 million from Fund X and \$3.0 million from management, providing a total equity commitment of \$700.0 million to the company.

Post Investment Activity

Shortly after inception, management identified the over-pressured oil window in the Northern Delaware Basin in Southeast Lea County, New Mexico as a focus area for the company. The Ameredev team decided to focus on this area of the Delaware because: (i) the team felt as if they had a strong understanding of the subsurface risk given that this area possesses similar geologic characteristics to the position they had built to the South in Ameredev I, (ii) the industry as a whole was continuing to delineate and move the play boundaries of the Delaware in this area to the East which provided a decent amount of well control to help give the team confidence in the overall reservoir quality, and (iii) both the regulatory environment in New Mexico and the early stage of overall development in the area had resulted in limited activity/focus by other operators which provided numerous potential entry opportunities that did not exist in other areas of the Delaware Basin.

In 1H 2017, Ameredev II acquired ~11,500 net acres in the Northern Delaware Basin in Southeast Lea County, NM through a mixture of grassroots leasing and non-marketed deals. Ameredev II previously owned ~2,000 net acres in Loving County, Texas where the team had drilled two highly economic Wolfcamp wells. Given the stranded nature of the tracts, and in an effort to focus its full efforts on Lea County development, management solicited bids for the acreage. In Q3 2018, Ameredev sold the remainder of its Loving County acreage. Proceeds from the sale were used to pay down debt and to fund future Lea County development.

Altogether, Ameredev II has acquired ~33,700 net acres to date in the Northern Delaware Basin at an attractive cost basis through over 40 separate transactions and grassroots leasing efforts. This acreage is largely contiguous with extremely favorable lease terms including high NRIs, long-term leases, and limited near-term drilling obligations. Offset operators such as ConocoPhillips, EOG, and Devon, amongst others, are actively developing in and around Ameredev II’s position and have helped delineate multiple formations through strong preliminary results.



EnCap Energy Capital Fund X
Portfolio Companies

Recent Events

To date, the company has drilled and completed sixty-three operated horizontal wells across its acreage position. During the fourth quarter of 2022, the company turned the 4-well Azalea pad online. Additionally, the company currently has 3 DUCs that they plan to bring online in early Q1 2023. Going forward, Ameredev plans to run a more measured development program.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Mar-17	\$546,400	\$0	\$912,158	\$912,158	1.67x	N/A



Fortis Minerals - Oklahoma

Substantially Realized

Company Description

Beginning in 2016 EnCap partnered with the Fortis management team through three separate Fund X ventures, Fortis I: \$275 million commitment, \$265 million invested, Fortis II: \$350 million commitment, \$335 million invested and Fortis III: \$100 million commitment, \$3.2 million invested.

Transaction Summary

During the investment period of Fortis I, II and III, the Fortis management team acquired mineral and overriding royalty interest in both the Permian and Anadarko basins with the majority of its capital being spent in the Permian. As part of our broader EnCap Mineral consolidation, we made the difficult decision to part ways with the Fortis Management team and consolidated all of the Fortis I, II and III Permian assets into EnCap Minerals. We excluded the remaining Fortis I and II Oklahoma assets from EnCap Minerals as these assets fall outside of the Permian Basin. These excluded assets, which reside in the STACK play of the Anadarko Basin and represent ~20,500 NRAs, have been consolidated into Fortis – Oklahoma and are currently being managed under a separate MSA with the Pegasus management team.

Recent Events

During 4Q 2022, EnCap closed on the sale of its consolidated STACK mineral assets to 89 Energy for ~\$230 million of total consideration. The Fortis Oklahoma mineral assets represented ~40% of the total consolidated assets sold to 89 Energy. The \$230 million 8/8ths sales price translated to ~4.7x projected 2023 EBITDA and was meaningfully above the PDP PV-10 value of the assets, which at the time was ~\$155 million at strip pricing. At closing on October 7, 2022, Fortis Oklahoma received \$77.9 million of proceeds. In addition to the proceeds received at closing, EnCap has the opportunity to receive an additional ~\$16 million of proceeds during 2023 from holdbacks and post-closing title defect curative payments.

Valuation (\$000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-17	\$161,268	\$156,658	\$16,980	\$173,638	1.08x	1.6%



Mongoose Energy Holdings, LLC

Company Description

Mongoose is a privately-held, Tulsa-based oil and gas company focused on building an acreage position in the core or low-risk extensional area of a proven basin, with an initial focus on the Delaware Basin. The team will seek to build an acreage position through small acquisitions and greenfield leasing in core areas that are overlooked and in extensional areas that it believes have the geologic characteristics required to become core areas. The company is led by a group of five executive team members comprised of key members of Samson Energy's New Ventures group, including Stephen Ferguson (CEO), Steve Widner (President / VP – Land), Kirk Harlton (VP – Geology), Kale Wallace (VP – Engineering), Ryan Heatly (VP – Operations), and Todd Coker (CFO). Each team member has garnered significant industry experience and expertise through their roles at Samson Energy as well as other large operators including Samson Resources, Conoco, ExxonMobil, Southwestern Energy, RBC, and Halliburton. Each management team member will play an integral role in Mongoose's decision making process given their highly complementary skill sets and established working relationships from their prior roles managing Samson's New Ventures group.

Transaction Summary

In April 2017, Fund X committed \$298 million to Mongoose and Management committed \$2 million, providing a total equity commitment of \$300 million. The investment is structured in the form of common equity, with Fund X receiving 99.4% of distributed cash until an 8% IRR and 1.25x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Recent Events

Mongoose currently holds ~9,500 predominantly HBP net acres in Pecos County, Texas. Forge II (a Fund XI company) currently manages the assets through a Management Services Agreement. Forge II has assets in the Southern Delaware Basin near Mongoose's acreage position and has a deep understanding of the area.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Apr-17	\$136,544	\$0	\$33,348	\$33,348	0.24x	N/A



Staghorn Petroleum II, LLC (“Staghorn III”)

Substantially Realized

Company Description

Staghorn Petroleum II (“Staghorn III”) is a privately-held, Tulsa-based oil and gas company focused on the pursuit of sizeable, high-growth and/or emerging plays through a combination of (i) producing and non-producing property acquisitions, (ii) grass-roots leasing and (iii) farm-ins or joint ventures. The Staghorn III executive management team consists of Frank Eby (CEO), Peter Vail (CFO), Ken March (SVP of Geology), Jeff Frederick (VP of Asset Engineering) and Richard Eby (VP of Land & Business Development). Each team member has garnered significant industry experience and contacts from past roles at companies including Newfield Exploration, Apache Corporation, Vintage Petroleum, Staghorn Energy, LLC (“Staghorn I”) and Staghorn Petroleum (“Staghorn II”). EnCap has known Mr. Eby for over a decade and formalized its partnership with him in 2007 via a \$9.3 million equity investment in Staghorn I from Fund VI for a 25% ownership in the company. To date, Fund VI has realized a 2.6x cash-on-cash return on its investment in Staghorn I. Most recently, Mr. Eby and EnCap formed Staghorn II, which sold a portion of its assets to Apollo-backed Chisolm Oil and Gas Operating, LLC in 2017. This transaction provided Fund X with \$373 million of total distributions, which implies a 2.3x cash-on-cash ROI (assuming no value given to Staghorn II’s retained assets mentioned below) on Fund X’s total investment in Staghorn II of \$165 million.

Council Oak was a privately-held, Tulsa-based oil and gas company focused on building a portfolio of resource play assets through an early-stage and/or extensional lease-and-drill strategy throughout the Anadarko Basin. Council Oak was led by a group of five executive team members comprised of key technical and business talents from SM Energy (Rick Fritz – CEO/VP of Geology and Marlon Wells – VP of Operations), Petrohawk/BHP Billiton (Rick Deffenbaugh – VP of Land), Laredo Petroleum (Blake Herndon – CFO), and Newfield Exploration (Tim Phillips – Engineering Manager). Each management team member will play an integral role in Council Oak’s decision-making process given their unique but highly complementary skill sets; however, the group will rely on Rick Fritz to harness the team’s efforts, lead their discussions and ultimately cast the deciding vote. Management has played an integral role in the generation and subsequent development of numerous resource plays throughout their careers, including Newfield’s prolific STACK play and a number of other sizeable, up-and-coming Anadarko Basin resource play concepts.

Transaction Summary

In May 2017, Fund X committed \$291 million alongside a \$9 million commitment from management for a total initial equity commitment of \$300 million to Staghorn III. The investment is structured in the form of common equity with Fund X receiving 97% of distributed cash until an 8% IRR and 1.25x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Following the formation of Staghorn III, Staghorn II and Staghorn III entered into a mutually-beneficial joint venture allows management to continue creating value for the western STACK assets held by Staghorn II, while also adding to that position in Staghorn III. At formation, Staghorn II contributed its retained ~38k net acres to the joint venture and Staghorn III agreed to fund all future capital for leasing, acquisitions and development in exchange for equity ownership in the joint venture on a pro-rata basis.

In July 2015, Fund X committed \$297.75 million to Council Oak and management committed \$2.25 million, providing a total equity commitment of \$300 million. The investment is structured in the form of common equity, with Fund X receiving 99.25% of distributed cash until an 8% IRR and 1.25x ROI is earned; thereafter, distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In May 2019, EnCap closed on the consolidation of Council Oak’s Anadarko Basin Osage Chert assets and the Arkoma Basin upstream and midstream assets under the management of Staghorn III. The assets consist



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund X

Portfolio Companies

of ~34k net acres in the Northwest STACK Extension Play and ~51k net acres in a second focus area, the Arkoma East STACK prospect. Council Oak also entered into a joint venture arrangement with Tall Oak Midstream III (“Tall Oak III”), an EnCap Flatrock portfolio company, whereby Council Oak dedicated all of its acreage position in the company’s Arkoma East STACK prospect in exchange for a 20% interest in Tall Oak III’s system that is focused on capturing acreage/volume dedications, as well as providing gas gathering and processing services.

In Q4 2019, EnCap and JP Morgan sold the working interest assets held in Staghorn II & Staghorn III to management for ~\$24mm (~\$22mm net to EnCap). The transaction closed in January, and Fund X received net proceeds to Staghorn III of \$13.7 million.

In Q1 2021, Tall Oak III was sold to Tailwater Capital for cash consideration and a subordinated 5-year note totaling ~\$13.8 million net to Fund X. This cash will be distributed over the next few years, and no other assets remain in the entity.

Valuation (\$000’s)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-17	\$276,764	\$19,306	\$11,436	\$30,742	0.11x	(35.3)%



Olifant Energy, LLC

Fully Realized

Company Description

Olifant Energy (“Olifant”) is a privately-held, Tulsa-based independent oil and gas company. The Olifant executive management team will be led by Don Burdick (CEO) and Bill Martin (President/COO), two former key executive team members (VP – Geology and VP – Engineering, respectively) of Kayne Anderson-backed Panther Energy Company II. Burdick and Martin will be accompanied by Adam Robinson (VP – Land and Legal), Jesse Gilman (VP – Development), Mack Blackford (VP – Exploration), Chad Trainer (VP – Planning, Operations and Engineering), Ken Fayard (VP – Production and Production Accounting), Tate Pope (Reservoir Engineer), Bill Crabtree (Petrophysicist) and Todd Harrell (Chief Accounting Officer). The team has worked together extensively throughout their careers, with eight of the ten team members coming from Panther II and the other two being hand-selected based on previous work experience with Burdick or Martin. Each team member has garnered significant industry experience and expertise through their roles at large operators including Cimarex Energy, Newfield Exploration, SM Energy, Vintage Petroleum, ConocoPhillips, Laredo Petroleum, SK Plymouth, Samson Resources and QEP Resources. Olifant will focus on building an attractive acreage position through a lease-and-drill, play-expansion strategy in proven basins. While the team has the skills, experience and contacts to pursue opportunities across the Lower-48, they plan to initially focus on the Permian and Anadarko basins where members of the team have successfully built and monetized asset positions at Panther Energy Company II and Panther Energy Company I, respectively. The company will initially leverage all available data to identify overlooked expansion areas near established economic activity within these proven basins.

Transaction Summary

Olifant was formed in June 2017 with a \$300 million total equity commitment comprised of \$297 million from Fund X and \$3 million from management. The investment is structured in the form of common equity with Fund X receiving 99% of distributed cash until an 8% IRR and 1.10x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Closed on the sale of its assets to U.S. Energy Development Corporation in October 2019, and Fund X received ~\$11.3 million in net proceeds.

Valuation (\$000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-17	\$76,230	\$11,219	\$0	\$11,219	0.15x	(64.6)%



Enduring Resources IV, LLC

Company Description

Enduring Resources IV is a privately held, independent oil and gas company based in Denver, CO. The company is led by the former management team of Westport Resources, a publicly traded independent that sold to Kerr-McGee in 2004 for \$3.4 billion. Additionally, management is substantially the same team from Enduring I & II, which were both highly successful EnCap entities. After its formation in 2004, Enduring I built asset bases in East Texas, South Texas, and the Rockies. The company exited the majority of its assets through three major individual sales: a \$603 million sale of its East Texas properties to Cabot Oil & Gas (NYSE: COG) in August 2008; a \$1.325 billion sale of its South Texas/Eagle Ford Shale assets to a 50/50% joint venture between Talisman (NYSE: TLM) and Statoil (NYSE: STO) in December 2010; and a \$43 million sale of its East Texas Robertson County assets in February 2011. Enduring I generated a 41% IRR and a 2.5x ROI on \$162 million invested for Fund V and a 333% IRR and a 2.3x ROI on \$42 million invested for Fund VII. Following its inception in 2011, Enduring II pursued multiple projects in West Texas and the Rockies but ultimately focused its efforts on the Southern Midland Basin, where it amassed 63,000 net acres in Reagan and Irion counties and drilled over 50 operated horizontal wells with four rigs running at the time of the sale. In 2014, the company sold this asset for \$2.5 billion to an affiliate of American Energy Partners and generated a 68% IRR and 2.9x ROI for both Fund VII and Fund VIII on \$106 million and \$170 million of invested capital, respectively. The company will execute a strategy similar to the one deployed in Enduring I & II, whereby Enduring IV will build a compelling acreage position in one or more onshore U.S. basins through a combination of acquisitions, greenfield leasing, and farm-ins. The team will then rely on its proven technical and operating expertise to execute a development program utilizing optimized drilling and completion techniques to create value.

Transaction Summary

Enduring IV was formed in June 2017 with a \$1.0 billion commitment consisting of \$475 million from Fund X, \$475 million from Fund XI, and \$50 million from management. In Q1 2018, the company increased its commitment to \$1.05 billion consisting of \$475 million from Fund X, \$475 million from Fund XI, \$52.5 million from management, and \$47.5 million from an affiliate of Avista Capital Partners. The investment is structured as common equity, with EnCap receiving a proportionate share of the distributions until simple payout is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

In July 2017, Enduring IV made a ~\$250 million acquisition of a large operator's San Juan Basin assets. This acquisition included ~\$200 million of PDP PV-10 and ~135,000 net acres with meaningful upside across all hydrocarbon phase windows of the Mancos Shale. Additionally, Enduring IV sees significant value in optimizing costs on existing legacy wellbores.

In Q1 2018, Enduring IV closed on its previously announced acquisition of WPX Energy, Inc.'s (NYSE: WPX) San Juan Basin oil assets for \$700 million that was substantially underpinned by PDP value. The acquired assets encompass ~93,000 net acres in the prolific core of the oil window with ~22.0 Mboe/d of production (74% liquids). Enduring IV will look to develop its inventory of highly economic locations with modern completions to drive value.

Recent Events

Currently, Enduring IV has ~230,000 net acres across all hydrocarbon phase windows of the Mancos Shale with ~25 MBoe/d of production. After initiating development in July 2018, the company experienced significant operational issues and delays related to the required infrastructure build-out, which led to cost overruns and mixed results on its first series of Mancos oil horizontal wells. In response, management slowed down its development pace and overhauled its field operations team and D&C protocols. However, this delay in development also resulted in increased midstream obligations.



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund X

Portfolio Companies

In early 2020, Enduring IV halted all development plans (with 6 DUCs outstanding) as commodity prices declined. The company focused its efforts on reducing operating expenses, cutting overhead costs, and paying down debt. The company successfully paid down considerable debt over the course of 2020 and 2021 and has benefitted significantly from its implemented cost reductions, which are expected to be sustainable.

Enduring IV is now on solid footing and plans running a one rig program in 2023. The company plans to operate with a moderate reinvestment rate and initiated distributions from free cash flow in the 4th quarter of 2022. Management will continue to monitor its development program and asset performance to determine appropriate quarterly distribution levels going forward. Additionally, management continues to explore consolidation opportunities to realize value from added scale.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jun-17	\$271,429	\$5,201	\$323,419	\$328,620	1.21x	N/A



Grayson Mill Energy II, LLC

Company Description

Grayson Mill Energy II is a privately held, Houston-based independent oil and gas company focused on the development of oil and gas properties in the Williston basin. The Grayson Mill II management team is comprised of the same senior management team as Grayson Mill I. They have also added additional key personnel and support staff with a significant Bakken experience. The team is led by Eric Bayes (CEO), Blake Sullens (COO), Matt Ultis (CFO), and Dewey Gerdorn (VP-Business Development). Mr. Bayes was previously VP Operations with Oasis Petroleum (“Oasis”), where he managed the entirety of Oasis’ operations team in the Bakken, which included 16 rigs, six frac crews, and over 300 employees at its peak. While at Oasis, Mr. Bayes was being groomed to be a future leader of the company prior to deciding to pursue his own venture. Mr. Sullens was most recently Operations Manager at Alta Resources, where he played a critical role in the execution and success of the company’s Duvernay asset. He brings a unique combination of operational, engineering, and petrophysical expertise to the team. Mr. Ultis was previously CFO of Redman Management Company (GSO portfolio company) and also held various corporate planning, finance, and investor relations roles at Oasis. Mr. Gerdorn previously served as VP-Business Development at Bright Horizon Resources, where he focused on the Midcontinent and East Texas basins. Prior to Bright Horizon Resources, Mr. Gerdorn worked at PDC Energy for nineteen years, where he was part of the original team that formed PDC’s successful strategy to enter the Wattenberg and Piceance basins. Grayson Mill represents a strong, data-driven and operational team well situated to execute the company’s strategy in the Bakken.

Transaction Summary

In February 2021, Fund X posted a \$150 million deposit to secure the acquisition of Equinor’s Bakken assets. In April 2021, Fund X committed \$250 million, Fund XI committed \$500 million, and management committed \$1 million, providing a total equity commitment of \$751 million to the company. Simultaneous with the April closing, ownership across members was trued up based on commitments to the company. The investment is structured in the form of common equity with EnCap receiving 99.9% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

Concurrent with the formation of Grayson Mill II, the company closed its acquisition of Equinor’s Bakken assets for \$900 million. Equinor’s Bakken assets include ~240k net acres producing ~44 MBoe/d net (67% oil), as well as an extensive crude, gas, and water gathering system that greatly enhances producer margins. At closing, the transaction was funded with \$560 million in equity, \$275 million in debt, and \$65 million in interim period cash flow. The valuation was highly compelling with over \$1 billion in hard value coverage and meaningful upside inventory remaining that was not valued to underwrite the deal. Additional upside exists in LOE reductions and refrac potential. Equinor hedged a meaningful portion of PDP volumes on behalf of Grayson Mill at PSA signing, and Equinor also provided firm crude transportation at an attractive fixed fee arrangement through YE 2022. The transaction closed in April 2021.

During Q1 2022, Grayson Mill sold non-core acreage and associated production in Montana for \$71 million to a private operator.

Recent Events

Management began influencing operations after closing in April 2021 and formally brought operations in-house in August 2021. Over the course of 2021, the team primarily focused on stabilizing production and lowering operating costs, which yielded excellent results. The company also completed a significant backlog of DUCs that were inherited from the seller and commenced a re-frac program. In late 2021, Grayson Mill deployed its first operated rig, and in Q1 2022, the company added its second operated rig.

EnCap Energy Capital Fund X

Portfolio Companies

In Q4 2022, Grayson Mill added a third rig to bring value forward, while reinvesting a moderate portion of overall operating cash flow and maintaining modest leverage (<1.0x). In total, Grayson Mill distributed ~\$40 million during the quarter and has distributed ~\$761 million since inception. Overall, the company is very well positioned for continued success, especially in the current commodity price environment, and we expect to realize ongoing distributions from free cash flow for the foreseeable future.

In Q4 2022, the company acquired EOG's Western Bakken assets for \$125 million in cash consideration after EOG ran a marketed process. The acquired assets are substantially offset or inside existing Grayson Mill drilling units and include over 100 net locations. After netting out approximately \$50 million of PDP value, this inventory was captured at a compelling valuation (<\$1 million per location) and will further extend the deep inventory runway of the company, while also extending laterals for several of Grayson Mill's existing drilling units.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
April-21	\$196,420	\$243,934	\$452,461	\$696,395	3.55x	N/A



EnCap Minerals, LLC

Company Description

EnCap Minerals, LLC (“EnCap Minerals”) was formed in June 2021 with the consolidation of core Permian mineral assets from multiple EnCap portfolio companies held in Fund IX (OGX III), Fund X (Fortis I, Fortis II, Fortis III, OGX IV), and Fund XI (OGX V, Pegasus I). Each entity received equity ownership in the new EnCap Minerals platform in exchange for the assets contributed, resulting in Fund IX, Fund X, and Fund XI owning 9.8%, 52.5%, and 36.6% of EnCap Minerals, respectively. The balance of the ownership, 1.1%, rests with the current management investors in Pegasus I. EnCap Minerals holds a premier portfolio of 125,000 core net royalty acres in the Permian Basin (60% Delaware Basin and 40% Midland Basin) with diversified and highly undeveloped assets positioned for future organic growth with no capital requirements.

EnCap Minerals is managed by the Pegasus team pursuant to a Management Services Agreement. Overhead is allocated to EnCap Minerals and Pegasus II using a methodical approach that is reviewed and approved by EnCap. As part of the consolidation, EnCap formally separated ties with the Fortis and OGX/Santa Elena teams, but several management members were retained to bolster the go-forward management team. Overall, we believe the consolidation of assets under EnCap Minerals will meaningfully reduce overhead, enhance distributions, and provide scale that will create differentiated opportunities for value creation and an ultimate monetization. EnCap Minerals will closely monitor the markets for a potential IPO, outright sale, or additional consolidation opportunities with other large private mineral interests using equity consideration.

Transaction Summary

In June 2021, EnCap Minerals was formed with the consolidation of core Permian interests. The existing remaining commitments of the Fund IX (OGX III) and Fund X (Fortis I, Fortis II, Fortis III, OGX IV) entities involved in the consolidation were carried over to EnCap Minerals to provide for additional future flexibility should a considerable deal arise requiring a cash component (subject to Advisory Board approval given the Funds involved).

The management interests of Fortis III, OGX III, OGX IV, and OGX V were fully repurchased prior to the consummation of EnCap Minerals, and the EnCap Funds hold the common equity interests directly related to these investments. The original management incentive structures remain for Fortis I, Fortis II, and Pegasus I, which are subject to an 8% IRR on original invested capital. Thereafter distributions are allocated on a graduated basis as certain ROI targets are met. EnCap holds a majority position on the Board of Managers for EnCap Minerals.

Recent Events

The EnCap Minerals portfolio has realized significant organic growth through ongoing and increased industry activity across its position in the Permian Basin. Approximately half of all Permian rigs have been running on EnCap Minerals’ position over the past few quarters. As such, we anticipate continued production growth in 2023 based on current activity levels.

In 4Q 2022, EnCap Minerals made \$121 million in distributions (~\$44 million to Fund XI, ~\$63 million to Fund X, and ~\$12 million to Fund IX). For FY 2022, EnCap Minerals generated approximately \$500 million in cash flow. The company will continue to make monthly distributions on an ongoing basis.

Valuation (\$000’s)

The Unrealized Value is based on a cash flow multiple of actual trailing 12 month cash flow.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jun-16	\$625,076	\$430,111	\$1,591,385	\$2,021,496	3.23x	N/A



Verdun Austin Chalk JV

Company Description

The Verdun Austin Chalk Joint Venture (“Chalk JV” or the “JV”) is a joint venture agreement between EnCap Fund X and Verdun Oil Company, LLC (“Verdun”). The purpose of the Chalk JV is to use direct funding from Fund X to unlock valuable drilling economics that reside in the Verdun dry gas Austin Chalk asset base. The Austin Chalk assets present compelling economics, particularly in the current commodity price environment, however, Verdun’s focus remains on developing their Eagle Ford asset base and using the substantial associated free cash flow to make monthly distributions. The JV will allow Verdun to accelerate development of these economic locations.

Transaction Summary

The Chalk JV will be funded through a new commitment that will be made up of a reduction to the existing Verdun equity commitment. To date \$39 million has been funded to the Chalk JV and an additional \$61 million will be added to the commitment for a total of \$100 million commitment. Verdun I has \$109 million unfunded commitment, and given the very low likelihood Verdun will need any additional equity capital, a reduction of \$100 million is not anticipated to create any issue.

The JV will be structured such that Fund X funds 100% of the capital in certain Austin Chalk wells. Fund X will receive all the cash flow from the JV until it achieves an 8% rate of return, at which point Fund X will receive 80% of the remaining cash flows and Verdun Oil Company will receive 20%.

Post Investment Activity

Drilling in the Austin Chalk JV began in December of 2021 across 5 wells (Cantigny 1H, Passchendaele 1H, Cambrai 1H, Gallipoli 1H, and Tannenberg 1H). Difficult drilling conditions led to higher D&C costs than initially anticipated, though the dramatic increase in commodity prices at time of production indicated returns higher than initial underwriting.

Recent Events

4 additional chalk wells were completed in the Q4 2022 and began production after year-end. Initial well results were inline with type curves. Production on all producing wells is being restricted as a response to current commodity prices and no further development is being contemplated at this time.

Valuation (\$000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Dec-21	\$49,000	\$0	\$71,432	\$71,432	1.46x	N/A



ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund X

Section IV: Financial Statements

Audited 2022 financial statements to be provided by March 31, 2023